

# Preliminary Economic Feasibility Study for Constructing Panorama Park in Al Shou'la Municipality

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### Executive Summary

The suggested idea of the project is based on establishing Al Shou'la Panorama park; whereas Al Shou'la Municipality, especially Saham area, is distinguished of a unique view and charming weather. A land of total area 10 Donums area, lot no. 2 of basin 17 Haraj Al-Hashara owned by the Municipality will be leased in order to be developed and prepared for accommodating the biggest number of local tourists. The suggested project uniquely provides means of relaxation and privacy along with distinguished offers and services; good finishing and environmental architectural shape, as well as unrivaled location and competitive affordable prices. The project is close to Al-Yarmouk Battle Field and the antiquities of Um Qais; which gives it historical importance and preference over similar projects and areas.

Irbid governorate is one of the most beautiful natures; distinguished of its rich lands and highest rainfall rates in the Kingdom, while containing various kinds of trees and fruit along with mild weather all along the year. It is considered a touristic and therapeutic destination for various overnight and day visitors. The current projects in the area are initial and lack means of privacy and comfortability with quality and variation in services. The project will be reviving the targeted area and surrounding to become a touristic destination on the Kingdom level.

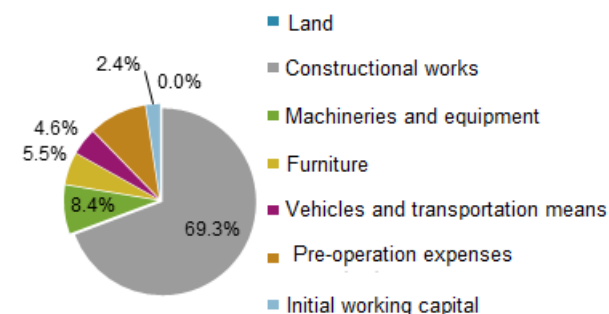
On the other hand; the project will be highly contributing in serving clients and providing touristic, scouting services of all types, raising level of living and employing workforce in the area; which will generate funds and provide them with annual fixed income. Sources of income and suggested services may be summarized as follows: services of accommodation for Overnight Visitors in two types: cottages and tents, restaurant, equipped areas for families of day visitors, stores for lease and bikes for adventure and exploration.



Based on the feasibility study; the highest rate of revenues expected for the project resulted from the restaurant by 51.8%, then the overnight visitors by 18%; while the least percentage of revenues resulted from Day visitors by 6.6% as clarified in the figure; whereas the total revenues during years of study reaches 1,729,985 JOD.

### Most important results of the study

- ✓ Investment cost of the project is estimated of 733,332 JOD; which includes buildings, machineries, vehicles and transportation means, furniture, pre-operation expenses and initial working capital. Around 40% of the project will be funded through loans of 293,333 JOD while the other 60% will be self-funded (equity) of 439,999 JOD
- ✓ The expected income statement is established based on subtracting expenses from revenues; whereas the rounded profits of the project were negative starting from the first year of project lifespan
- ✓ Net current value of the project cash flow is minus 630,911. The professional group team calculated the IRR in order to determine project economic feasibility and it was -1.14%; which is less than the weighted average of capital cost 13.62%
- ✓ Financial indicators clarify that the project is not feasible nor profitable



## Sensitivity Analysis

|                           |                                                                | For Project             |                   |                         | For Owners' Equity      |                         |
|---------------------------|----------------------------------------------------------------|-------------------------|-------------------|-------------------------|-------------------------|-------------------------|
| Item                      |                                                                | Internal rate of return | Net current value | Capital recovery period | Internal rate of return | Capital recovery period |
| Current Position          |                                                                | -1.14%                  | (630,911)         | More than 10 years      | 0.91%                   | (492,930)               |
| <b>Capital costs</b>      |                                                                |                         |                   |                         |                         |                         |
| 1                         | 20% decrease in capital costs                                  | 0.73%                   | (484,245)         | More than 10 years      | 3.16%                   | (372,090)               |
| 2                         | 40% decrease in capital costs                                  | 3.10%                   | (337,578)         | More than 10 years      | 5.94%                   | (251,250)               |
| 3                         | 60% decrease in capital costs                                  | 6.33%                   | (190,912)         | More than 10 years      | 9.59%                   | (130,410)               |
| 4                         | 90% decrease in capital costs                                  | 15.47%                  | 29,088            | More than 10 years      | 18.77%                  | 50,850                  |
| <b>Operating revenue</b>  |                                                                |                         |                   |                         |                         |                         |
| 5                         | 10% increase in revenue                                        | 3.63%                   | (479,872)         | More than 10 years      | 5.45%                   | (389,968)               |
| 6                         | 20% increase in revenue                                        | 7.37%                   | (328,832)         | More than 10 years      | 9.17%                   | (287,006)               |
| 7                         | 30% increase in revenue                                        | 10.48%                  | (177,793)         | More than 10 years      | 12.37%                  | (184,044)               |
| 8                         | 40% increase in revenue                                        | 12.73%                  | (52,885)          | More than 10 years      | 14.75%                  | (98,897)                |
| 9                         | 45% increase in revenue                                        | 13.77%                  | 9,228             | More than 10 years      | 15.87%                  | (56,556)                |
| <b>Operating expenses</b> |                                                                |                         |                   |                         |                         |                         |
| 10                        | 20% decrease in operating expenses                             | 3.68%                   | (471,367)         | More than 10 years      | 5.52%                   | (383,860)               |
| 11                        | 40% decrease in operating expenses                             | 7.55%                   | (311,822)         | More than 10 years      | 9.41%                   | (274,789)               |
| 12                        | 70% decrease in operating expenses                             | 11.88%                  | (96,399)          | More than 10 years      | 13.95%                  | (127,473)               |
| 13                        | 85% decrease in operating expenses                             | 13.79%                  | 9,735             | 9                       | 16.01%                  | (54,891)                |
| <b>Indirect salaries</b>  |                                                                |                         |                   |                         |                         |                         |
| 14                        | 25% decrease in the direct and indirect salaries of employees  | 0.09%                   | (593,965)         | More than 10 years      | 2.06%                   | (467,686)               |
| 15                        | 50% decrease in the direct and indirect salaries of employees  | 1.24%                   | (557,019)         | More than 10 years      | 3.15%                   | (442,442)               |
| 16                        | 75% decrease in the direct and indirect salaries of employees  | 2.32%                   | (520,073)         | More than 10 years      | 4.20%                   | (417,197)               |
| 17                        | 100% decrease in the direct and indirect salaries of employees | 3.35%                   | (483,126)         | More than 10 years      | 5.20%                   | (391,953)               |
| <b>Marketing expenses</b> |                                                                |                         |                   |                         |                         |                         |
| 18                        | 25% decrease in marketing expenses                             | -0.80%                  | (619,764)         | More than 10 years      | 1.23%                   | (485,298)               |
| 19                        | 50% decrease in marketing expenses                             | -0.46%                  | (608,617)         | More than 10 years      | 1.55%                   | (477,666)               |
| 20                        | 70% decrease in marketing expenses                             | -0.13%                  | (597,470)         | More than 10 years      | 1.87%                   | (470,034)               |
| 21                        | 100% decrease in marketing expenses                            | 0.20%                   | (586,323)         | More than 10 years      | 2.18%                   | (462,402)               |

## 1. Chapter I: Jordan Overview



Area:<sup>1</sup>

89,342km<sup>2</sup>

Population:

9.9million(2017)

Population Growth Rate :(2017)

%7.9

Key Economic Indicators <sup>2</sup>(2017)

- GDP: 38.74 **billion USD**
- Inflation Rate<sup>3</sup>%3.2 :
- Unemployment Rate%15.8 :

### 1.1 Geographic and Demographic Reality

Jordan sits in the heart of the Middle East region, bordered by Saudi Arabia, Palestine, Iraq, and Syria from the south, west, east and north, respectively. Jordan has access to the Red Sea through Aqaba city, located on the northern tip of the Gulf of Aqaba. The following table shows the geographic and demographic reality in Jordan:<sup>4</sup>

Table 1: View of the Geographic and Demographic Reality in Jordan

| Description            |                                                                                                                        |
|------------------------|------------------------------------------------------------------------------------------------------------------------|
| Location               | Middle East, bordering by Saudi Arabia, Palestine, Iraq, and Syria from the south, west, east and north, respectively. |
| Geographic Coordinates | 31° North and 36° East                                                                                                 |
| Area                   | Total Area: 89,342 km <sup>2</sup><br>Land Area: 88,802 km <sup>2</sup><br>Water Area: 540 km <sup>2</sup>             |
| Coast line             | 26 km                                                                                                                  |
| Climate                | The weather is hot and dry in the summer and nice, humid and rainy in winter (runs from November to April)             |

<sup>1</sup> Department of Statistics: Report of main results on general census of population and housing 2017 –Access date .(12.10.2017)

<sup>2</sup> (CIA FACTBOOK) <https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html> – Access date .(12.10.2017)

<sup>3</sup> World Book <https://tradingeconomics.com/jordan/inflation-cpi> – Access date .(12.10.2017)

<sup>4</sup> (CIA FACTBOOK) <https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html> – Access date .(12.10.2017)

|                          |                                                                                                                                                       |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| Lower and higher heights | Lower height: The Dead Sea, falling 408 m, below sea level.<br><br>Higher height: Umm Al-Dami summit, with estimated height of 1854 m above sea level |
| Natural Resources        | Phosphate, Potash and Oil Shale                                                                                                                       |

Jordan is divided into 12 governorates (The Capital, Balqa, Zarqa, Madaba, Irbid, Mafrq, Jerash, Ajloun, Karak, Tafila, Ma'an, and Aqaba). According to the statistics issued by Department of Statistics for 2016, the population of Jordan reached around 9,798,000 people; the population growth rate in 2016 was 2.5%. The following table shows the population, area and population density<sup>6</sup> of each governorate as follows<sup>5</sup>:

Table 2: Population, area and population density for each governorate in the Kingdom

| Governorate  | Population       | Area (km <sup>2</sup> ) <sup>7</sup> | Population Density |
|--------------|------------------|--------------------------------------|--------------------|
| Amman        | 4,119,500        | 7,579                                | 544                |
| Balqa        | 505,400          | 1,119                                | 452                |
| Zarqa        | 1,403,000        | 14,7                                 | 295                |
| Madaba       | 194,500          | 940                                  | 207                |
| Irbid        | 1,819,600        | 1,572                                | 1158               |
| Mafrq        | 565,300          | 26,551                               | 21                 |
| Jerash       | 243,700          | 410                                  | 594                |
| Ajloun       | 181,000          | 420                                  | 431                |
| Karak        | 325,500          | 3,495                                | 93                 |
| Tafila       | 99,000           | 2,209                                | 45                 |
| Ma'an        | 148,100          | 32,832                               | 5                  |
| Aqaba        | 193,400          | 6,900                                | 28                 |
| <b>Total</b> | <b>9,798,000</b> | <b>88,88</b>                         | <b>110.4</b>       |

<sup>5</sup> Department of Statistics – [http://dos.gov.jo/dos\\_home\\_a/jorfig/2016/3\\_1.pdf](http://dos.gov.jo/dos_home_a/jorfig/2016/3_1.pdf) – Access date .(12.10.2017)

The Gross Domestic Product (GDP) in Jordan consists of several sectors, such as agriculture, hunting, fishing, mining and quarrying, manufacturing, construction, trade, restaurants and hotels, transport, storage, communications, financial services, insurance, real estates and business services, government services and other sectors. The government services sector has the higher rate, which constitutes 22.9% of the GDP. The following figure shows each sector is contributing to the GDP in Jordan for the year 2016<sup>6</sup>.

Based on the preliminary estimates of the International Monetary Fund (IMF), the economic growth in Jordan will be accelerated in the coming years, so the growth rate of GDP will be 2.5% in 2015 and 4% in 2021.<sup>7</sup>

## Inflation

Inflation is defined as a constant increase in price levels in a country, which lead to weakening the purchasing power in that country and high cost of living in general. The importance of knowing the change in inflation rates as an economic indicator in any country is considered as an indicator of economic stability in that country, or governments ability to control the economy through their financial and economic policies. Furthermore, the inflation rate in a country may describe the trade policy of that country and its openness.

According to the information issued by the Department of Statistics regarding inflation in Jordan, the average consumer prices for the first two months of 2017 increased by 3.5% compared to the same period of 2016<sup>8</sup> while the inflation rate reached 2.28% during the years (2013-2015<sup>9</sup>). The major reasons beyond the changes in inflation rates are: The unemployment rate rises to 15.8% due structural disparities in the labor market and acquisition of low-paid expatriates, especially the Syrian labor, great number of new job opportunities in the economy and in light of declined oil prices and associated services in the global markets.

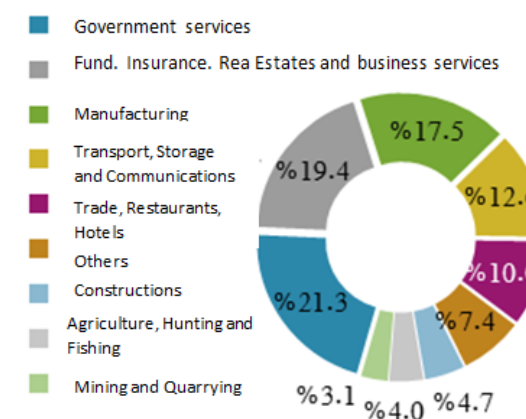


Figure 1.1: Gross Domestic Product by Economic Sectors

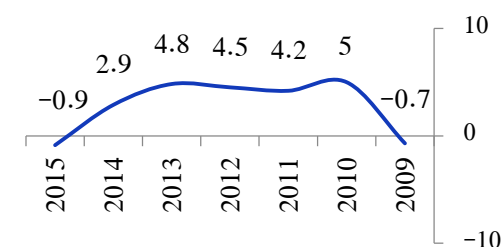


Figure 1.2: Inflation ratios in Jordan for the period (2009-2015)

<sup>6</sup> Department of Statistics - [http://www.dos.gov.jo/dos\\_home\\_a/main/economic/nat\\_account/sel2/nat\\_6/1.pdf](http://www.dos.gov.jo/dos_home_a/main/economic/nat_account/sel2/nat_6/1.pdf) - Access date .(12.10.2017)

<sup>7</sup> International Monetary Fund (2016) Database of Global Economic Expectations [file:///C:/Users/aqaisi/Downloads/textpdf%20\(1\).pdf](file:///C:/Users/aqaisi/Downloads/textpdf%20(1).pdf) Access date .(12.10.2017)

<sup>8</sup> Department of Statistics <http://web.dos.gov.jo/%D8%A7%D9%84%D8%B9%D8%B1%D8%A8%D9%8A%D8%A9-4-6-%D8%A7%D8%B1%D8%AA%D9%81%D8%A7%D8%B9-%D9%85%D8%B9%D8%AF%D9%84-%D8%A7%D9%84%D8%AA%D8%B6%D8%AE%D9%85-%D9%84%D8%B4%D9%87%D8%B1-%D8%B4%D8%A8%D8%A7%D8%B7/?lang=ar> - Access date .(12.10.2017)

<sup>9</sup> Inflation rate for the last three years - Central Bank

Jordan is one of the leading countries in the region in economic openness experience. Despite its limited resources, it managed to improve its economic relationships with the Arab countries and worldwide through concluding a number of agreements, such as the Greater Arab Free Trade Area Agreement (GAFTA), which contributed in facilitating trade exchange between member countries. Jordan also entered into a partnership agreement with the European Union and a free trade agreement with the United States, in addition to signing a number of agreements to protect and promote investment and prevent double taxation with a number of Arab countries.



According to information obtained from the CIA-World Fact book, the value of Jordan's exports for 2016 was USD 7.123 billion<sup>10</sup>, while the value of imports was USD 17.86 billion<sup>11</sup>. Jordan's main exports are clothing, fertilizers, potash, phosphate, vegetables and pharmaceuticals. The main imports include crude oil, refined petroleum products, machinery and equipment, iron and grain. The following table shows a number of free trade agreements, which Jordan is currently associated with, according to information obtained from the Ministry of Industry and Trade:<sup>12</sup>

Table 3: Free trade agreements with Jordan

| Agreement                                                         | Signing Date |
|-------------------------------------------------------------------|--------------|
| Greater Arab Free Trade Area (GAFTA)                              | 19/2/1997    |
| Jordanian-European Partnership                                    | 24/11/1997   |
| The United States-Jordan Free Trade Agreement                     | 24/10/2000   |
| Free trade Agreement with EFTA States                             | 21/6/2001    |
| Free Trade Area Between the Arab Mediterranean Countries (Agadir) | 25/2/2004    |
| Free Trade Area with Singapore                                    | 16/5/2004    |
| Free Trade Agreement with Canada                                  | 28/6/2009    |
| Free Trade Area Agreement with Turkey                             | 1/12/2009    |

## 1.2 Investment Environment

Jordan is characterized of its strategic location; since it is located at the confluence of three continents, which are Europe, Asia and Africa. Therefore, it is the ideal gateway to the Middle East, North Africa and beyond. Jordan proves a safe and convenient environment for businessmen and investment. It has an advanced legal system, a world-class infrastructure, an advanced communications system and easy access to markets through international agreements. The Jordanian human resources are also qualified, educated and highly competitive.

<sup>10</sup> (CIA FACTBOOK) <https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html> –Access date .(12.10.2017)

<sup>11</sup> (CIA FACTBOOK) <https://www.cia.gov/library/publications/the-world-factbook/geos/jo.html> –Access date .(12.10.2017)

<sup>12</sup> <sup>15</sup>Ministry of Industry and Trade –<http://www.mit.gov.jo/EchoBusV3.0/SystemAssets/Documents/AR/%D9%86%D9%87%D8%A7%D8%A6%D9%8A%20-%D8%A7%D9%84%D8%AA%D9%82%D8%B1%D9%8A%D8%B1%20%D8%A7%D9%84%D8%B3%D9%86%D9%88%D9%8A%202015.pdf> –Access date .(12.10.2017)

The Jordan Investment Commission (JIC) grants incentives to both Jordanians and non-Jordanians represented by exemption customs duties, exemptions from income tax and social services tax, in addition to unrestricted transfer of capital and profits. Based on the information obtained by the professional Group team from JIC, the following table shows the annual size of investments benefiting from the Investment Promotion Law for the years (2013-2015).<sup>13</sup>

Table 4: Volume of investments benefited from the Investment Promotion Law for the years (2013-2015) distributed by type of investment and sector

| Size of Investments | 2013              |                     |                   | 2014              |                     |                   | 2015              |                     |                   |
|---------------------|-------------------|---------------------|-------------------|-------------------|---------------------|-------------------|-------------------|---------------------|-------------------|
| Type of Investments | Local Investments | Foreign Investments | Total Investments | Local Investments | Foreign Investments | Total Investments | Local Investments | Foreign Investments | Total Investments |
| Total (JD)          | 641,308,372       | 667,622,569         | 1,308,930,941     | 877,480,248       | 269,027,447         | 1,146,507,695     | 810,324,876       | 2,305,875,885       | 3,116,200,761     |

Table 5: Volume of investments benefited from the Investment Promotion Law for the years (2013-2015) distributed by sector

| Sector      | 2013          | 2014        | 2015          | Sector              | 2013                 | 2014                 | 2015                 |
|-------------|---------------|-------------|---------------|---------------------|----------------------|----------------------|----------------------|
| Industry    | 1,002,276,880 | 400,774,797 | 2,739,801,038 | Means of Transport  | 82,000,000           | 62,188,875           | 126,044,000          |
| Tourism     | 142,387,000   | 94,872,031  | 71,461,000    | Recreational Cities | 27,487,186           | 99,703,200           | 15,128,918           |
| Agriculture | 19,779,875    | 187,085,552 | 105,721,805   | Others              | 1,000,000            | 25,350,000           | 9,420,000            |
| Hospitals   | 34,000,000    | 270,533,240 | 48,624,000    | <b>Total (JD)</b>   | <b>1,308,930,941</b> | <b>1,146,507,695</b> | <b>3,116,200,761</b> |

There are many reasons that distinguish Jordan, in terms of attracting investments, including<sup>14</sup>:

- 1- Unique and strategic location: As previously mentioned, it is located at the confluence of three continents, Europe, Asia and Africa. In addition to its location as a center point in the Middle East area, and its access to the Red Sea through Gulf of Aqaba, and other ports in neighboring countries.
- 2- Stable political environment: represented by the wise leadership, which guarantees freedom of belief and opinion, and private property protection.
- 3- Free market economy: The concept of free economy is based on non-intervention by the government in economic activities and leaving the market self-regulated. This is manifested through the constant privatization of large organizations owned by the government, and tangible progress in the legal and structural reforms.

<sup>13</sup> Jordan Investment Commission 2016

[http://www.jordan.gov.jo/wps/portal/!ut/p/b1/04\\_Sj7Q0N7Y0MTU2NdeP0I\\_KSyzLTE8syczPS8wB8aPM4sMsvS3CvN0NDQwsLF0NPIP8nd1MPX2MHI1N9YMTI\\_RzoxwVAa9I-HM/](http://www.jordan.gov.jo/wps/portal/!ut/p/b1/04_Sj7Q0N7Y0MTU2NdeP0I_KSyzLTE8syczPS8wB8aPM4sMsvS3CvN0NDQwsLF0NPIP8nd1MPX2MHI1N9YMTI_RzoxwVAa9I-HM/) <sup>14</sup> – E-government – Access date (03.08.2016)

- 4- Offering a bundle of incentives and exemptions, aiming to promote investment, including: exemption of projects in any of the sectors for 10 years, of income tax and social services tax by 25%, 50% or 75%, based on location and sector of Project. In addition to having several incentives to encourage investment, which are included in the Jordan Investment Promotion Law, under which JIC was established.
- 5- Access to the major international markets: Trade agreements with neighboring countries and worldwide facilitate access of the Jordanian products to those countries.
- 6- Existence of several free zones and industrial cities: The Free Zones Corporation operates five public free zones, and around 30 private free zones. Additionally, there are six industrial cities distributed in the capital and the rest of governorates in the Kingdom.
- 7- Competent and qualified human resources: according to the information provided by Ministry of Labor in 2014; the Jordanian workforce is estimated of 1.461 million. The workforce in Jordan is expected to increase as a result of the increased percentage of women joining labor market. The human resources in Jordan are one of the most important resources. Jordan is exporting its workforce to neighboring countries, especially the Arab Gulf, for a long time, which significantly contributed in providing an important source of income to the country.
- 8- High level infrastructure, in addition to the existence of an advanced communications sector in the Kingdom.

High quality of life: Investor enjoys a relatively low-cost standard of living, high quality private and public education in Arabic, English and French, affordable health service according to the international standards, cultural centers, local and international business associations, developed intercommunicating community, traditional festivals, cultural entertainment and wealth of the archaeological sites, restaurants and entertainment clubs.

### 1.3 Ease of practicing business

According to information provided by the World Bank, practicing business in Jordan obtained the following scores on indicators related to business, compared with 190 countries. As shown in the following table, the scores obtained by Jordan in 2018 are better than in 2017 for most of aspects evaluated aspect<sup>19</sup>, as Jordan is ranked 103 for the ease of the “practicing business” indicator.

Table 6: Rank of Jordan Economy for 2017-2018

| Ease of Regulating Business     | Rank of Jordan Economy in 2017 | Rank of Jordan Economy in 2018 | Change in Rank |
|---------------------------------|--------------------------------|--------------------------------|----------------|
| Starting a business             | 106                            | 105                            | 1              |
| Obtaining construction licenses | 109                            | 110                            | 1-             |
| Access to electricity           | 48                             | 40                             | 8              |
| Ownership registration          | 96                             | 72                             | 24             |
| Access to credit facilities     | 185                            | 159                            | 26             |
| Protecting investors minority   | 165                            | 146                            | 19             |
| Payment of taxes                | 79                             | 97                             | 18-            |
| Trade in transit                | 50                             | 53                             | 3-             |
| Enforcement of contracts        | 124                            | 118                            | 6              |
| Settlement of insolvency        | 142                            | 146                            | 4-             |

## 1.4 Background of Al Shou'la Municipality

### 1.4.1 Location

Al Shou'la Municipality is located in the northwestern part of the Kingdom all along the eastern side of Al-Yarmouk River, it is 25 km far from Irbid and 115 km far from Amman. The area has two different weathers; as in the part close to Aghwar it is warm, while the hills are colder. Water in the streams and valleys are active all along the year; which gives it the optimal privilege for agriculture and tourism.

### 1.4.2 Demographics

According to the Department of Statistics; the number of municipality population reached 15,371 persons in 2015 in addition to 3000 refugees (UNHCR). Al Shou'la Municipality includes three villages; Samar, Saham and Al-'Asheh, which are within the eighteen municipalities in Irbid, and it is located in Bani Kenanah District; one of the nine districts in the governorate. Total population of Al Shou'la form minor percentage of the governorate population of 1.77 million, while regarding workforce, most workers are of youth, just as in the different regions of Jordan (75% of the population is below 35 years), and most of them work in the field of agriculture.

### 1.4.3 Family income average

Average family in Bani Kenanah district including Al Shou'la Municipality is 5.4 persons, which is less than the average family in Irbid 5.6 person. Average income of the family is 7640 JOD annually, and the cost of living is apparently less compared to Amman, especially with regards to housing. Poverty Average reached 13.5% in 2012, which is less compared to the other regions. Average poverty reached 14.4%, while unemployment is a little higher by 17% compared to Irbid 13%, and 12% nationally. In general, the cost of food is the highest in Irbid (36.2%), then housing (23.4%), followed by education /health (18.1%) and transportation (15.4%).

### 1.4.4 Public Services

**Transportation:** in general; the network of roads is of good quality and covers most areas of the municipality thus providing population with transportation services while connecting the area with the close cities and capital. Municipality requested from the government to pave some of the secondary roads in town leading to agricultural lands. The area contains a transportation network that includes a number of buses distributed around the municipality but there is no station within the municipality. QAIA is the closest airport to Al Shou'la and it is around two hours far, without area containing any metro or railway.

**Healthcare:** municipality contains two main health centers in each of Saham and Samar, each one contains a dentist clinic and pharmacy. Al Shou'la contains one private dentistry clinic and one pharmacy without any health center, and it was requested to establish a health center in Bani Kenanah area.

**Public Security:** Al Shou'la does not contain any fire extinguishing station or police center; but there is a security station inside Bani Kenanah district which is five minutes far from the municipality

**Solid wastes:** 100% (around eighty tons) of solid wastes are collected daily and most of them are organic, and transferred to Akaidar landfill referring to the common services council

**Wastewater treatment:** the area does not contain a wastewater network (underground or aboveground pipes) at Al Shou'la municipality. Population depends on Cesspools for discharging wastewater; which leads to groundwater pollution. The municipality is within the group of municipalities that requested from the Ministry of Water and Irrigation to conduct studies for providing the area with pipes, pump stations and treatment plant.

**Water:** the area contains water networks, but they need rehabilitation as loss average is high. Bani Kenanah district requested from the Ministry of Irrigation to offer tender for providing area with water from Al-Wehdeh Dam. (water rationalization practices shall be accredited, including pricing the closest value of water and re-using grey water for irrigation)

**Energy:** Electric power network covers 100% of the municipality areas and it contains WLAN

#### 1.4.5 Educational opportunities

The area contains nine public schools; five of them for girls and four for boys. Average number of students in each classroom is 30 and the area also contains kindergartens without vocational training institute. The area is 25 minutes far from Irbid University and Vocational Training programs available therein. The Ministry of Higher Education and Scientific Research is planning to open a faculty at Al Shou'la municipality between 2016 and 2018.

#### 1.4.6 Cultural and Recreational Activities

The area contains two gyms and one football playground without any cultural facilities.

#### 1.4.7 Economic activities and jobs

The biggest percentage of population work in the field of agriculture and governmental departments without any other available fields in the region. Al-Hasan Industrial City is located inside government borders and provides 21292 job opportunities. Al Shou'la municipality includes a competitive agricultural feature; whereas it owns the biggest number of olive trees in Jordan in addition to the high production of high quality Guava. The area also includes several citrus fruits and natural unexploited views, which provides competitive touristic feature of rural tourism (agricultural, environmental, family).

Agricultural works in the area include four factories for extracting olive oil (press, mill and grinder), one of the four factories is located within local population and municipality lands. Several women informally work on food processing including some of the domestic works and they use local fruit and vegetables for producing jams, pickles and other products including soap.

#### 1.4.8 Land use

There is no integrated map (Masterplan) for guiding investors towards proper areas and investment opportunities whether public or private lands. As with all municipalities; there is some form of division; whereas the municipality owns 40% of olive oil extraction works; which generates revenues, jobs and other investments. Municipality owns other facilities that are managed by the private sector such as football playgrounds in addition to five buildings located on a land lot of five donums (5000 square meters), pastures, forests, hills and valleys in addition to additional 400 donums. Municipality is planning to invest some of the available lands for establishing renewable solar energy project in cooperation with Irbid Electricity Company.

#### **Agricultural area and forests**

The area of agricultural lands equals around 49% while forests form 51% of lands. Although most of lands are forests; trees are considered a problem in the northern area. Close to Al Shou'la municipality there is Al-Yarmouk Natural Reserve that is managed by the Society for the Conservation of Nature (RSCN) as one of the most important national properties in Jordan. Reserve was established in 2010 on the borders of Joulan hill with a view on Al-Yarmouk River. The area includes 85% of oak trees, two rare species of orchids and mammals such as foxes, hyena, wolves and mountain deer.

#### **Industrial and commercial areas**

Commercial activities in Al Shou'la municipality are very limited; as they are restricted to the small shops and iron workshops (blacksmithery). There is a close commercial and retail selling zone that include the down town in Irbid city.

#### **Close touristic activities**

Jordan is considered as an international touristic destination and Al Shou'la is considered as an emergent agricultural, touristic and rural destination. Al-Yarmouk Battle field is the sole touristic place in Al Shou'la promoted by the Tourism Commission; it is the battle that took place in 635 AD, through which the Islamic Army controlled Syria under the leadership of Khaled Bin Waleed. Location is not existing on the most touristic paths; although of being on Al-Yarmouk path that refers to the Ministry of Tourism and Antiquities. Jordanians visit the site during summer and enjoy barbecue parties. According to the Local Development Unit; 17000 local tourists visit the site weekly both in spring and summer; which gives opportunity for expanding local and family tourism. Regarding expansion of touristic paths; there is a number of regional sites that are easily reached from Al Shou'la, located within several paths of tourism offices including Ajloun Castle, Decapolis Coalition monuments in Bella and Um Qais (with Evangelical symbol to a garden and cave close to the prophet Jesus), under the supervision of the Antiquities Department at the Ministry of Tourism. The Environmental Tourism in Ajloun is managed by the Royal Society for the Conservation of Nature (RSCN); while the Ministry of Agricultural manages Dibein Reserve.

#### 1.4.9 Project location and Um Qais antiquities

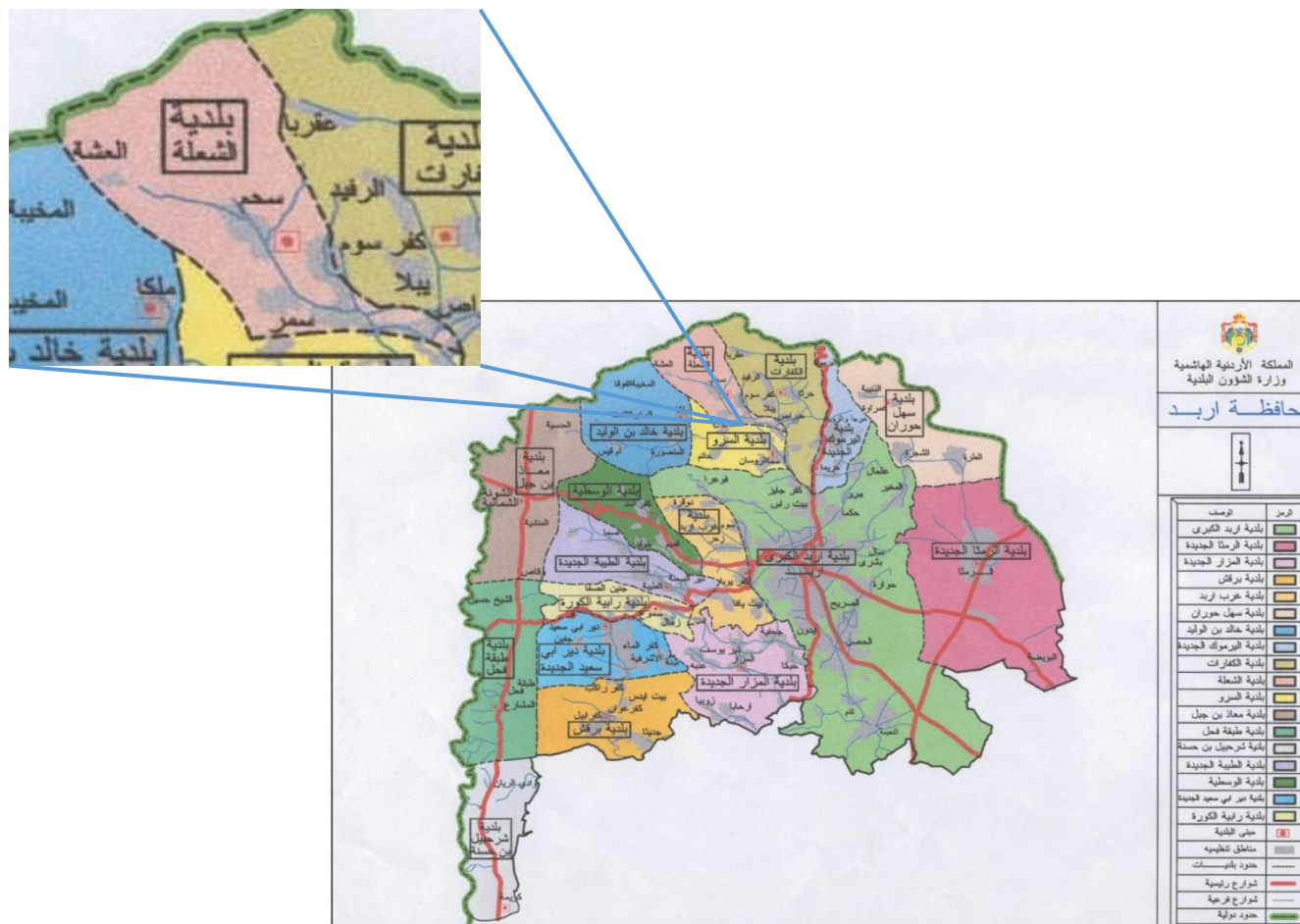
Estimated distance between project location and Um Qais antiquities is of 10 km, and it is preferred over several campaign sites and parks on the Kingdom level as clarified in the figure:





#### 1.4.10 Municipality and project location

This map clarifies the location of Al Shou'la Municipality for Irbid governorate and the location of the proposed project in Sahm area:



## 2. Chapter II: Market Analysis

### 2.1 Project Description

The suggested idea of the project is based on establishing Al Shou'la Panorama park; whereas Al Shou'la Municipality, especially Saham area, is distinguished of a unique view and charming weather. A land of total area 10 Donums area, lot no. 2 of basin 17 Haraj Al-Hashara owned by the Municipality will be leased in order to be developed and prepared for accommodating the biggest number of local tourists. The project is distinguished for:

- ✓ Attracting high number of overnight visitors and day visitors
- ✓ Providing means of comfort and privacy in the area through offering unique services including high quality finishing and architectural shape
- ✓ Unique location and competitive affordable prices.
- ✓ The suggested project is more upgraded than the current ones whereas they are primitive and lack privacy
- ✓ The project is close to Al-Yarmouk Battle Field along with antiquities of Um Qais; which gives it historical importance and preference over similar projects and areas
- ✓ Some spaces in the project may be leased to stores' owners, restaurants and entertainment parks
- ✓ Project contributes in serving tourists and provide touristic and camping services of all types
- ✓ Raise level of living while employing several workforces in the area which will provide them with fixed annual income

## 2.2 Suggested services

Consist of the following:

- 1- Chalets for Overnight Visitors divided into two types as currently available in Ajloun Reserve
  - A- 3 environmental cottages for families' stay with total area of 40 m<sup>2</sup> whereas each cottage contains: one bedroom consisting of two beds, living room, small kitchen and WC, and each cottage may be occupied by 5 persons through adding mattresses while using the public facilities in the park
  - B- 6 tents for families and youth with total area of 40 m<sup>2</sup>, each tent may be occupied by 5 persons, and they are usually used by youth groups and university students with the potential of using public facilities in the park. For considering privacy; the chalets and tents are separate from each other and from the park for Day visitors whereas the area has specific capacity while considering maintaining trees and forest in project site upon construction
- 2- Food and beverage service (catering) including establishing restaurant for serving meals and all necessary requirements in addition to a dining room, terrace to be used during Spring and summer with the capacity of 180 persons and area of 250 m<sup>2</sup>
- 3- Prepared areas for families to serve day visitors, which is the most spread style of picnicking among Jordanian families; whereas the project provides places for barbecue, play areas with total area of 250 m<sup>2</sup>, praying hall of 50 m<sup>2</sup> and paved parks with the area of 2000 m<sup>2</sup>
- 4- 6 stores with the area of 24 m<sup>2</sup> for the purposes of leasing and offering handicrafts or any other purposes; and these stores are not subject to the provisions of organization such as setbacks and others, since they are located within a land lot referring to the Municipality responsible for issuing constructional license. It is expected that these stores will be occupying land lot to receive clients from inside the project and external area
- 5- 10 bicycles for adventurous visitors whereas they may use them for discovering the surrounding forests

The following figure clarifies the services suggested by the project:

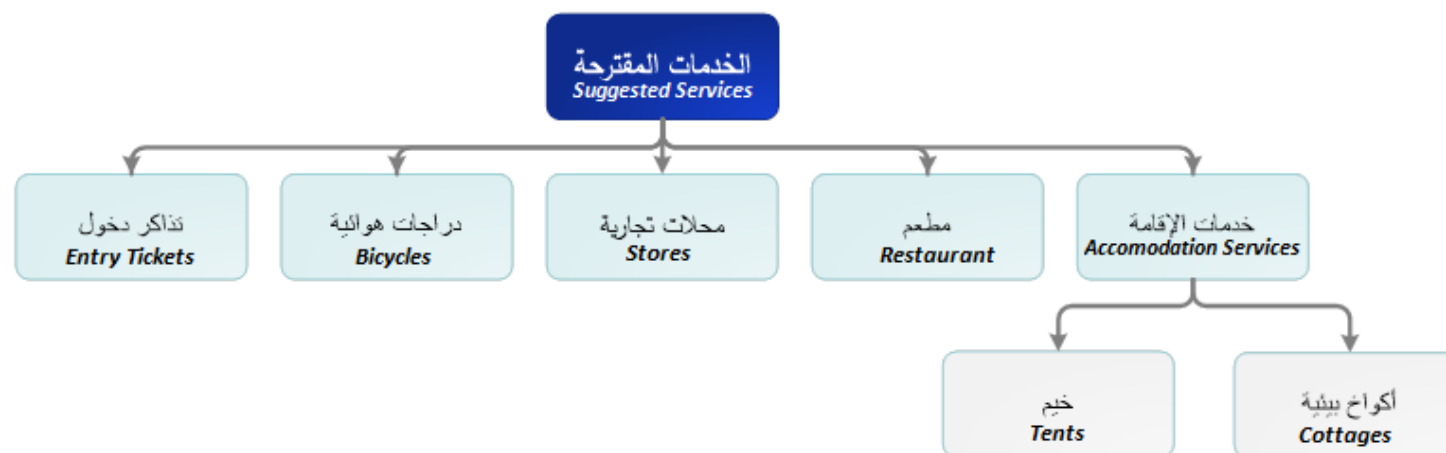


Figure 1: Project suggested services

### 2.3 Project Objectives

Project objectives may be summarized as follows:

- Achieving profit revenue for the project body
- Create attractive investment environment for the environmental tourism in the area
- Enhance investment productivity in Al Shou'la area by creating investment activities region that contributes in providing investment opportunities to be integrated with the services provided by the project, which are considered as direct and indirect connections for tourism investment in the region
- Helping area population in promoting their foodstuff, agricultural and handicraft products
- Provide new job opportunities
- Improve municipality income through additional resources for increasing level of services provided to citizens

### 2.4 Targeted Segments

The Project will target local people who conduct internal tourism visits according to the local tourism statistical survey conducted by the Statistics Department on intervals. Market volume will be determined based on the internal tourism survey results for the year 2013 in the market volume analysis; whereas the project targets overnight and day visits.

## 2.5 Market Size Analysis

Local tourism survey of the Statistics Department was accredited for determining the number of day and overnight Visitors of Al-‘Asheh area which is one of Al Shou’la Municipality communities. The following table clarifies percentage distribution of tourism visits according to the visited sites as a main targeted destination and residency for the year 2012 in Irbid:

Table 7: Percentage distribution of tourism visits according to the visited site as a main targeted destination and residency for the year 2012 in Irbid

| Area                  | Percentage  | Area                    | Percentage |
|-----------------------|-------------|-------------------------|------------|
| Bella / Tabaget Fahel | 0.5%        | Irbid                   | 56.7%      |
| Al-Asheh              | 3.0%        | Um Qais                 | 8.6%       |
| Ramtha                | 2.9%        | Wadi Al-Arab Dam        | 0.7%       |
| Berqesh               | 1.8%        | Al-Hemmeh               | 4.6%       |
| Public parks          | 0.8%        | Religious sites         | 0.1%       |
| Picnics on road sides | 0.6%        | Northern Aghwar         | 11.2%      |
| <b>Total</b>          | <b>100%</b> | Suburbs and rural areas | 8.4%       |

Details of Overnight and Day Visitors for the project in Al-‘Asheh area are detailed as follows:

### 2.5.1 Day visitors

Number of families on the Kingdom level reached 1,977,537 in 2015 and annual increase in population reached 3.23% for the previous three years<sup>15</sup>, whereas the following table clarifies the number of day visitors of Al-‘Asheh for entertainment and holidays:

| Day visitors                                               | 2019      | 2020      | 2021      | 2022      | 2023      | 2024      | 2025      | 2026      | 2027      | 2028      |
|------------------------------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Number of families on kingdom level                        | 2,245,679 | 2,318,214 | 2,393,093 | 2,470,390 | 2,550,183 | 2,632,554 | 2,717,586 | 2,805,364 | 2,895,977 | 2,989,517 |
| Percentage of families in touristic journeys <sup>17</sup> | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    | 17.60%    |
| Number of families in touristic journeys                   | 395,239   | 408,006   | 421,184   | 434,789   | 448,832   | 463,330   | 478,295   | 493,744   | 509,692   | 526,155   |
| Average families' visit <sup>17</sup>                      | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       | 5.5       |
| Total touristic journeys on Kingdom level                  | 2,173,815 | 2,244,033 | 2,316,512 | 2,391,340 | 2,468,576 | 2,548,315 | 2,630,623 | 2,715,592 | 2,803,306 | 2,893,853 |

<sup>15</sup> Local tourism survey – Public Statistics Department

|                                                                                               |               |               |               |               |               |               |               |               |               |               |
|-----------------------------------------------------------------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Percentage of day visits <sup>17</sup>                                                        | 72%           | 72%           | 72%           | 72%           | 72%           | 72%           | 72%           | 72%           | 72%           | 72%           |
| Number of day visits                                                                          | 1,565,147     | 1,615,704     | 1,667,889     | 1,721,765     | 1,777,375     | 1,834,787     | 1,894,049     | 1,955,226     | 2,018,380     | 2,083,574     |
| Main purpose is entertainment and holiday <sup>17</sup>                                       | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        | 45.00%        |
| Destination - Irbid <sup>17</sup>                                                             | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        | 18.30%        |
| Destination – Al-‘Asheh <sup>17</sup>                                                         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         | 3.00%         |
| Number of day visits for entertainment and holiday with specific destination being Al-‘Asheh  | 3,873         | 3,998         | 4,127         | 4,260         | 4,398         | 4,540         | 4,687         | 4,838         | 4,994         | 5,155         |
| Average individuals of day visits for entertainment and holiday <sup>17</sup>                 | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          | 4.05          |
| Number of day visits for entertainment and holidays with specific destination being Al-‘Asheh | <b>15,684</b> | <b>16,191</b> | <b>16,714</b> | <b>17,254</b> | <b>17,811</b> | <b>18,387</b> | <b>18,980</b> | <b>19,593</b> | <b>20,226</b> | <b>20,880</b> |

### 2.5.2 Overnight Visitors

Second part of expected tourists is the Overnight Visitors ; whereas the overnight tourists form 28% of the total families in the Kingdom<sup>16</sup>, the following table clarifies the expected number of overnight visits with destination being Al-‘Asheh for holidays and entertainment:

| <b>Overnight Visitors</b>                                                                                  | <b>2019</b>  | <b>2020</b>  | <b>2021</b>  | <b>2022</b>  | <b>2023</b>  | <b>2024</b>  | <b>2025</b>  | <b>2026</b>  | <b>2027</b>  | <b>2028</b>  |
|------------------------------------------------------------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Percentage of overnight visits <sup>18</sup>                                                               | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       | 28.00%       |
| Number of overnight visits                                                                                 | 608,668      | 628,329      | 648,623      | 669,575      | 691,201      | 713,528      | 736,574      | 760,366      | 784,926      | 810,279      |
| Main objective is entertainment and holidays <sup>18</sup>                                                 | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       | 35.30%       |
| <b>Destination – Irbid<sup>18</sup></b>                                                                    | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       | 12.60%       |
| <b>Destination - Al-‘Asheh<sup>18</sup></b>                                                                | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        | 3.00%        |
| <b>Number of overnight visits for entertainment and holidays with specific destination being Al-‘Asheh</b> | 813          | 840          | 867          | 895          | 924          | 954          | 984          | 1,016        | 1,049        | 1,083        |
| <b>Average number of individuals for entertainment and holidays<sup>18</sup></b>                           | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         | 3.43         |
| <b>Average days of overnight<sup>18</sup></b>                                                              | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          | 2.8          |
| <b>Number of overnight individuals with destination being Al-‘Asheh</b>                                    | <b>2,790</b> | <b>2,880</b> | <b>2,973</b> | <b>3,069</b> | <b>3,168</b> | <b>3,271</b> | <b>3,376</b> | <b>3,485</b> | <b>3,598</b> | <b>3,714</b> |

<sup>16</sup> Local tourism survey – Public Statistics Department

## 2.6 Competitors

Project competitors are divided into two sections; direct competitors which are similar service projects based in the same location and receive visitors from the area, such as parks, play areas and restaurants without competing on the service of overnight stay. Indirect competitors are the tourism projects providing the same services in other areas such as RSCN whereas those projects do not compete with the same targeted segment. Price list of one of the indirect competitors was revised (Ajloun Forests Reserve) to be an indication for creating project services' prices. Main competitors, which are 5 were clarified through market survey of the consulting team in the following table; whereas four competitors target Day visitors only while the fifth targets overnight and day visitors:

Table 8: Competitors

| Competitors                            | Services provided                             | Prices                              | Targeted category          |
|----------------------------------------|-----------------------------------------------|-------------------------------------|----------------------------|
| Mr. Fayez Al-Omari project             | Children games, shisha, hot drinks and juices | Entrance 0.5 JOD and electric games | Day visitors               |
| Mr. Omar Al-Omari project              | shisha, hot drinks and juices and chairs      | 0.5 per chair and 2 per table       | Day visitors               |
| Mr. Ahmad Al-Bourini project           | shisha, hot drinks and juices and facilities  | 0.5 per chair and 2 per table       | Day visitors               |
| Mr. Mohammad Badri Al-Tawalbeh project | Children pool and facilities                  | Entrance 10 JOD per family          | Day visitors               |
| Al-'Asheh scout camp / MoE             | Tents, WCs and chairs                         | 4 per person                        | Day and Overnight Visitors |

## 2.7 Estimated Market Share

Market share is based on the weighted average analysis of the project through various factors including: privacy and comfort, varied offers, finishing and service, location, prices and marketing as clarified in the table below:

Table 9: Weighted Average analysis of the project

|                                 | Available privacy and comfort means | Varied offers | Finishing and facilities | Location | Prices | Marketing |
|---------------------------------|-------------------------------------|---------------|--------------------------|----------|--------|-----------|
| <b>Weight A</b>                 | 25%                                 | 15%           | 15%                      | 15%      | 10%    | 20%       |
| <b>Project percentages B</b>    | 80%                                 | 75%           | 65%                      | 53%      | 70%    | 85%       |
| <b>Weighted average AxB</b>     | 40%                                 | 23%           | 20%                      | 16%      | 14%    | 34%       |
| <b>Total Weighted average C</b> |                                     |               | 146%                     |          |        |           |
| <b>Optimal market share D</b>   |                                     |               | 16.67%                   |          |        |           |
| <b>Market share CxD</b>         |                                     |               | 24.31%                   |          |        |           |

Market share is analyzed for two parts according to day and overnight visitors by annual increase estimated of 3%; whereas the number of competitors in the project site of day visitors is 5 and 1 for overnight visitors. Market share was calculated as stay nights for the project based on the suggestion of one-night stay and demand is supposed to increase in weekends. Touristic season of the project is supposed to include 52 days of weekends, i.e. capacity is estimated of 468 nights.

Table 10: Market share for Day visitors

| Market share for day visitors | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   | 2028   |
|-------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Available market share        | 24.31% | 25.04% | 25.79% | 26.56% | 27.36% | 28.18% | 29.03% | 29.90% | 30.79% | 31.72% |

Table 11: Market share for Overnight Visitors

| Market share for Overnight Visitors | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   | 2028   |
|-------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Available market share              | 50.00% | 51.50% | 53.05% | 54.64% | 56.28% | 57.96% | 59.70% | 61.49% | 63.34% | 65.24% |



## 2.8 Pricing policy

Overnight prices differ in similar projects between week days and weekends; while the average prices are suggested for the feasibility study purposes. The following table clarifies the prices expected during period of study for the suggested source of income, which was estimated in compatible with competitors' prices and purchase capacity for the targeted categories whereas these prices increase by 2.28%<sup>17</sup> annually.

Prices of similar services in indirect competitors' projects such as bicycle leasing are considered; whereas the project of Sharhabeel Bin Hasna Park leases bicycles for 10 JD per day; while the project will offer bicycles as journey to Um Qais site which is 10 km far for 10 JD in addition to a tourist guide.

Table 12: Prices expected during period of study for the suggested income sources

| Expected prices (JOD)                            | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   | 2028   |
|--------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Cottages' wage                                   | 80.0   | 81.8   | 83.7   | 85.6   | 87.5   | 89.5   | 91.6   | 93.7   | 95.8   | 98.0   |
| Tents' wage                                      | 40.00  | 40.91  | 41.84  | 42.80  | 43.77  | 44.77  | 45.79  | 46.84  | 47.91  | 49.00  |
| Entrance fees (including facilities)             | 2.00   | 2.05   | 2.09   | 2.14   | 2.19   | 2.24   | 2.29   | 2.34   | 2.40   | 2.45   |
| Mountain bike fees /hour                         | 10.00  | 10.23  | 10.46  | 10.70  | 10.94  | 11.19  | 11.45  | 11.71  | 11.98  | 12.25  |
| Expenditures of Overnight Visitors in restaurant | 30.50  | 31.20  | 31.91  | 32.63  | 33.38  | 34.14  | 34.92  | 35.71  | 36.53  | 37.36  |
| Expenditures of Day visitors in restaurant       | 35.50  | 36.31  | 37.14  | 37.98  | 38.85  | 39.74  | 40.64  | 41.57  | 42.52  | 43.49  |
| Monthly store lease                              | 180.00 | 184.10 | 188.30 | 192.59 | 196.99 | 201.48 | 206.07 | 210.77 | 215.57 | 220.49 |

<sup>17</sup> Inflation average for the last three years - CBJ

## 2.9 SWOT Analysis

| Weaknesses                                                                                                                                                                                                                                                                                                                                                                                                       | Strengths                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>– seasonal operations with low levels of tourism in the area during winter</li> <li>– Location and roads of the project; whereas roads are still within rural area</li> <li>– Place topography and uneasy roads without passing others' lands</li> <li>– Limited site popularity among people and concerned bodies, which will require high marketing expenses</li> </ul> | <ul style="list-style-type: none"> <li>– Attractive nature of project site</li> <li>– High quality of services provided compared to competitors</li> <li>– Varied facilities and services</li> <li>– Fulfilling local tourists and visitors desired services</li> <li>– Lack of high quality services offered by the current competitors</li> <li>– Residents and Irbid population in general target the area in their picnics in addition to school and university visits during spring</li> </ul>                                                                                                     |
| Threats                                                                                                                                                                                                                                                                                                                                                                                                          | Opportunities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |
| <ul style="list-style-type: none"> <li>– Lack of economic and political stability</li> <li>– Several similar lands and lots that may contain similar projects</li> </ul>                                                                                                                                                                                                                                         | <ul style="list-style-type: none"> <li>– Project wide potentials through connecting with internal visits' organizers or electronic reservation sites</li> <li>– Adding similar services and new income sources for the project such as souvenirs' stores and external adventures</li> <li>– Targeting Arab and Gulf tourists since the project considers privacy of these communities</li> <li>– Need for new touristic projects for fulfilling internal and external needs</li> <li>– Targeting site through private sector investors because of potential for attracting economic projects</li> </ul> |

### 3. Chapter III - Technical Analysis

#### 3.1 Human Resources Required

The project will employ 16 employees, 8 of them are direct and 8 indirect at the initial operating phase. By the fourth year, the project will employ up to 16 employees to reach 7 direct and 9 indirect jobs. Working in similar projects is based on nominating a representative from the original personnel during working hours at peak time instead of working in the days of low demand in project services. On the other hand, Guards and security officers during shifts shall commit to project needs. The organizational structure clarifies the necessary personnel for operating the suggested project:

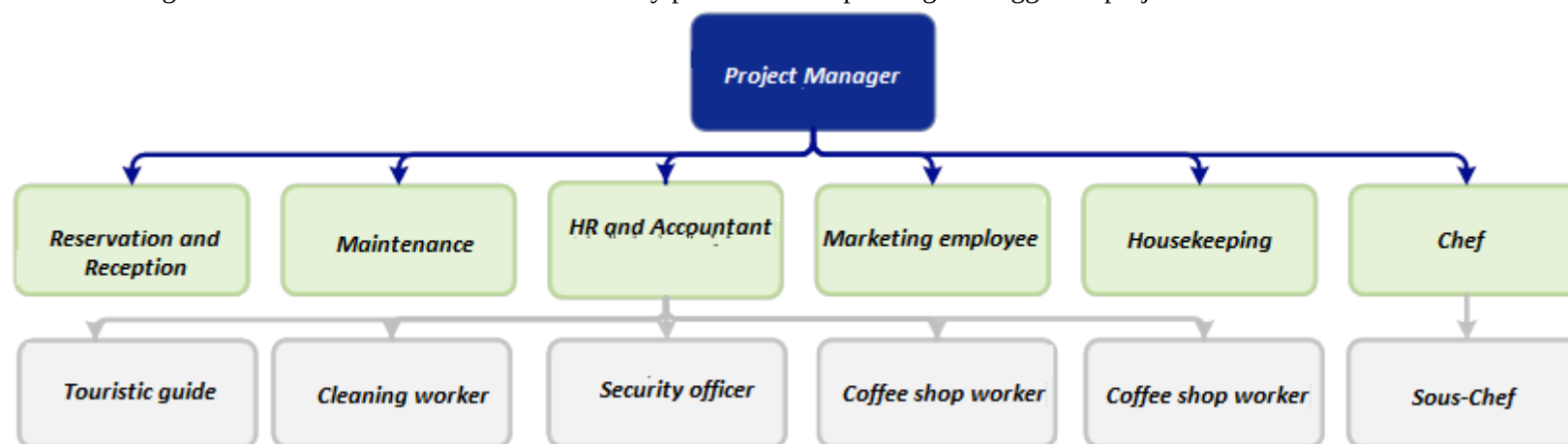


Figure 3: Organizational structure

The following table clarifies the direct and indirect workers necessary for the project during period of study:

Table 13: Project required workers

| Job title                          | 2019      | 2020      | 2021      | 2022      | 2023      | 2024      | 2025      | 2026      | 2027      | 2028      |
|------------------------------------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| <b>indirect employees</b>          |           |           |           |           |           |           |           |           |           |           |
| Project manager                    | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Accountant and HR manager          | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Marketing manager                  | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Cleaning workers                   | 2         | 2         | 2         | 2         | 2         | 2         | 2         | 2         | 2         | 2         |
| Security officers                  | 3         | 3         | 3         | 3         | 3         | 3         | 3         | 3         | 3         | 3         |
| <b>Total indirect employees</b>    | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>8</b>  |
| <b>Direct employees</b>            |           |           |           |           |           |           |           |           |           |           |
| Housekeeping                       | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Maintenance employee               | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Reservation and reception employee | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Coffee-shop employee               | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Chef                               | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| Restaurant serving employees       | 1         | 1         | 1         | 2         | 2         | 2         | 2         | 2         | 2         | 2         |
| Sous-chef                          | 1         | 1         | 1         | 2         | 2         | 2         | 2         | 2         | 2         | 2         |
| Tourist guide                      | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         | 1         |
| <b>Total direct salaries</b>       | <b>8</b>  | <b>8</b>  | <b>8</b>  | <b>10</b> | <b>10</b> | <b>10</b> | <b>10</b> | <b>10</b> | <b>10</b> | <b>10</b> |
| <b>Total</b>                       | <b>16</b> | <b>16</b> | <b>16</b> | <b>18</b> | <b>18</b> | <b>18</b> | <b>18</b> | <b>18</b> | <b>18</b> | <b>18</b> |

## 3.2 Project technical details

### 3.2.1 Overnight visitors

Months targeted in the year are from May (5) to November (10), the following table clarifies the technical details used for estimating number of visitors for cottages and tents:

Table 14: Technical details used for estimating number of Overnight Visitors in cottages and tents

| Standard                                                                   | Number |
|----------------------------------------------------------------------------|--------|
| Number of tents                                                            | 6      |
| Number of cottages                                                         | 3      |
| Number of available nights per season (nights) in cottages (6 months)      | 540    |
| Number of available nights per season (nights) in tents (6 months)         | 1080   |
| Maximum number of persons per tent or cottage                              | 5      |
| Maximum Overnight Visitors                                                 | 45     |
| Maximum number of day visits for families with the average of 3.43 persons | 14     |
| Maximum number of families leasing tent or cottage (6 months)              | 2520   |
| Maximum families leasing tents                                             | 1680   |
| Maximum families leasing cottages                                          | 840    |

According to the local survey of the Statistics Department; the average number of overnight visits is 2.8 nights<sup>18</sup> and for the purposes of preservation; the average stay of one night for visitors was suggested. Percentage of preferring camping over cottages is 72.50%<sup>19</sup> and average number of individuals in

<sup>18</sup> Local tourism survey – Public Statistics Department

recreational and holiday visits is 3.43<sup>20</sup> according to the estimations of previous market share for overnight visits which is 50%; whereas the number of project visitors of overnight visits reached 1395 in 2019 and percentage of increase in market share is 3% as clarified below:

Table 15: Project Overnight Visitors and percentage of tents and cottages occupancy

| Overnight Visitors                            | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   | 2028   |
|-----------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Project market share                          | %50.00 | %51.50 | %53.05 | %54.64 | %56.28 | %57.96 | %59.70 | %61.49 | %63.34 | %65.24 |
| Al-‘Asheh Overnight Visitors                  | 2,790  | 2,880  | 2,973  | 3,069  | 3,168  | 3,271  | 3,376  | 3,485  | 3,598  | 3,714  |
| <b>Project Overnight Visitors</b>             | 1395   | 1483   | 1577   | 1677   | 1783   | 1896   | 2016   | 2143   | 2279   | 2423   |
| Stay nights for visitors                      | 1395   | 1484   | 1578   | 1677   | 1783   | 1896   | 2016   | 2144   | 2279   | 2423   |
| Number of families leasing tents and cottages | 407    | 433    | 461    | 489    | 520    | 553    | 588    | 626    | 665    | 707    |
| Stay nights for tents                         | 296    | 314    | 335    | 355    | 377    | 401    | 427    | 454    | 483    | 513    |
| Stay nights for cottages                      | 111    | 119    | 126    | 134    | 143    | 152    | 161    | 172    | 182    | 194    |
| Percentage of total family occupancy          | %25.1  | %26.7  | %28.5  | %30.2  | %32.1  | %34.1  | %36.3  | %38.6  | %41.0  | %43.6  |
| Percentage of tents' family occupancy         | %27.41 | %29.07 | %31.02 | %32.87 | %34.91 | %37.13 | %39.54 | %42.04 | %44.72 | %47.50 |
| Percentage of cottages' family occupancy      | %20.56 | %22.04 | %23.33 | %24.81 | %26.48 | %28.15 | %29.81 | %31.85 | %33.70 | %35.93 |

### 3.2.2 Day visitors

According to the previous market estimations of day visitors, which is 24.31%; project visitors of day visits reached 3.813 visitor in 2019; whereas the percentage of increase in market share is 3% while the number of peak days is 180 (6 months) with average daily visitors reaching 22 in 2019 as clarified below:

Table 16: Day visit

| Day visitors             | 2019   | 2020   | 2021   | 2022   | 2023   | 2024   | 2025   | 2026   | 2027   | 2028   |
|--------------------------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| Project market share     | %24.31 | %25.04 | %25.79 | %26.56 | %27.36 | %28.18 | %29.03 | %29.90 | %30.79 | %31.72 |
| Al-‘Asheh visitors (day) | 15,684 | 16,191 | 16,714 | 17,254 | 17,811 | 18,387 | 18,980 | 19,593 | 20,226 | 20,880 |

<sup>19</sup> Local tourism survey – Public Statistics Department : [http://www.dos.gov.jo/dos\\_home\\_a/main/linked-html/tour\\_2008/2012/22.pdf](http://www.dos.gov.jo/dos_home_a/main/linked-html/tour_2008/2012/22.pdf)

<sup>20</sup> Local tourism survey – Public Statistics Department

|                                          |              |              |              |              |              |              |              |              |              |              |
|------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>Project Day visitors</b>              | <b>3,813</b> | <b>4,054</b> | <b>4,310</b> | <b>4,583</b> | <b>4,873</b> | <b>5,182</b> | <b>5,509</b> | <b>5,858</b> | <b>6,228</b> | <b>6,623</b> |
| <b>Average daily visitors (6 months)</b> | <b>22</b>    | <b>23</b>    | <b>24</b>    | <b>26</b>    | <b>28</b>    | <b>29</b>    | <b>31</b>    | <b>33</b>    | <b>35</b>    | <b>37</b>    |

### 3.2.3 Restaurant visitors

Percentage of restaurant users of day visits is 15%<sup>21</sup> while total users of Overnight Visitors is 15.4%<sup>22</sup>. Number of visitors of overnight and day visits was calculated through the previously estimated project visitors and available rates from the Statistics Department while suggesting annual increase of restaurant users by 15%, as clarified below:

Table 17: Number of restaurants' overnight visitors and day visits

| <b>Restaurant visitors</b>               | <b>2019</b> | <b>2020</b> | <b>2021</b>  | <b>2022</b>  | <b>2023</b>  | <b>2024</b>  | <b>2025</b>  | <b>2026</b>  | <b>2027</b>  | <b>2028</b>  |
|------------------------------------------|-------------|-------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Percentage of restaurant overnight users | %15.4       | %17.7       | %20.4        | %23.4        | %26.9        | %31.0        | %35.6        | %41.0        | %47.1        | %54.2        |
| Project Overnight Visitors               | 1,395       | 1,483       | 1,577        | 1,677        | 1,783        | 1,896        | 2,016        | 2,143        | 2,279        | 2,423        |
| Number of restaurant Overnight Visitors  | 215         | 263         | 321          | 393          | 480          | 587          | 718          | 878          | 1,074        | 1,313        |
| Percentage of restaurant day users       | %15.0       | %17.3       | %19.8        | %22.8        | %26.2        | %30.2        | %34.7        | %39.9        | %45.9        | %52.8        |
| Project day visitors                     | 3,813       | 4,054       | 4,310        | 4,583        | 4,873        | 5,182        | 5,509        | 5,858        | 6,228        | 6,623        |
| Number of restaurant Day visitors        | 572         | 699         | 855          | 1,046        | 1,278        | 1,563        | 1,911        | 2,337        | 2,858        | 3,495        |
| <b>Annual restaurant visitors</b>        | <b>787</b>  | <b>962</b>  | <b>1,176</b> | <b>1,438</b> | <b>1,759</b> | <b>2,151</b> | <b>2,629</b> | <b>3,215</b> | <b>3,932</b> | <b>4,807</b> |

<sup>21</sup> Local tourism survey – Public Statistics Department :[http://www.dos.gov.jo/dos\\_home\\_a/main/linked-html/tour\\_2008/2012/10.pdf](http://www.dos.gov.jo/dos_home_a/main/linked-html/tour_2008/2012/10.pdf)

<sup>22</sup> Local tourism survey – Public Statistics Department :[http://www.dos.gov.jo/dos\\_home\\_a/main/linked-html/tour\\_2008/2012/10.pdf](http://www.dos.gov.jo/dos_home_a/main/linked-html/tour_2008/2012/10.pdf)

### 3.2.4 Stores

Similar projects receiving visitors are important sites for attracting commercial projects such as selling souvenirs, trading visits' supplies, pools, selling and trading consumables and foodstuff along with pharmacies. Accordingly, the project is supposed to contain 6 stores to be invested in leasing with initial occupancy of 50% represented in 3 stores reaching 100% in 3 stores in the fourth year or the project lifespan by increase of 25% from occupancy:

Table 18: Stores occupancy

| Stores                                 | 2019       | 2020       | 2021       | 2022        | 2023        | 2024        | 2025        | 2026        | 2027        | 2028        |
|----------------------------------------|------------|------------|------------|-------------|-------------|-------------|-------------|-------------|-------------|-------------|
| Number of stores                       | 6          | 6          | 6          | 6           | 6           | 6           | 6           | 6           | 6           | 6           |
| <b>Percentage of stores' occupancy</b> | <b>%50</b> | <b>%63</b> | <b>%78</b> | <b>%100</b> | <b>%100</b> | <b>%100</b> | <b>%100</b> | <b>%100</b> | <b>%100</b> | <b>%100</b> |
| Number of leased stores                | 3          | 4          | 5          | 6           | 6           | 6           | 6           | 6           | 6           | 6           |

### 3.2.5 Bicycles

Percentage of visitors wishing to use entertainment games with the main purpose being recreational and holidays is 14.2%<sup>23</sup> whereas visitors wishing to use bicycles are of the same percentage of previously estimated project visitors. Additionally, average lease of bicycles reaches 2.5 hour per visitor during peak which is 180 days as clarified below:

Table 19: mountain bicycles

| Bicycles                                       | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  | 2025  | 2026  | 2027  | 2028  |
|------------------------------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Total project visitors                         | 5,208 | 5,537 | 5,888 | 6,260 | 6,656 | 7,078 | 7,525 | 8,001 | 8,507 | 9,046 |
| Number of Overnight Visitors for entertainment | 739   | 786   | 836   | 889   | 945   | 1,005 | 1,069 | 1,136 | 1,208 | 1,284 |
| Number of Day visitors for entertainment       | 4     | 4     | 5     | 5     | 5     | 6     | 6     | 6     | 7     | 7     |
| Number of bicycles                             | 3     | 3     | 3     | 3     | 3     | 3     | 3     | 3     | 3     | 3     |
| Number of daily lease hours                    | 10    | 11    | 12    | 12    | 13    | 14    | 15    | 16    | 17    | 18    |
| Number of annual lease hours                   | 1,849 | 1,966 | 2,090 | 2,222 | 2,363 | 2,513 | 2,671 | 2,840 | 3,020 | 3,211 |

## 3.3 Technical Requirements' Analysis

### 3.3.1 Construction Works

Regarding the constructional works required for the project; they represent the cost of pavement and building fences on land lot, buildings of services and administrative offices, as clarified in the table below:

Table 20: Construction works required

<sup>23</sup> Local tourism survey – Public Statistics Department :[http://www.dos.gov.jo/dos\\_home\\_a/main/linked-html/tour\\_2008/2012/39.pdf](http://www.dos.gov.jo/dos_home_a/main/linked-html/tour_2008/2012/39.pdf)



| Construction Works                       | Cost (JD/m <sup>2</sup> ) | Area (m <sup>2</sup> ) |
|------------------------------------------|---------------------------|------------------------|
| Cost of cottage installation             | 350                       | 40                     |
| Cost of tent installation                | 50                        | 40                     |
| Works of preparing cottage or tent floor | 25.0                      | 40                     |
| Fence                                    | 60.0                      | 400                    |
| Restaurant building                      | 350.0                     | 250                    |
| Public facilities                        | 250.0                     | 50                     |
| Guards room                              | 250.0                     | 20                     |
| Administration and reception building    | 300.0                     | 50                     |
| Motel campus corridors paved for parking | 10.0                      | 2,000                  |
| Kids' play areas                         | 20.0                      | 250                    |
| Commercial shops                         | 200.0                     | 24                     |
| Water well (m3)                          | 50.0                      | 100                    |
| Landscaping                              | 50.0                      | 2,000                  |
| Warehouse                                | 200.0                     | 100                    |
| Praying building                         | 250.0                     | 50                     |

### 3.4 Furniture and Fixtures

The following table shows the furniture and fixtures required for the Project:

Table 21: Furniture and fixtures

| Furniture and Fixtures         | quantity |
|--------------------------------|----------|
| <b>Cottages' supplies</b>      |          |
| Small-size bed (2/cottage)     | 6        |
| Small-size closets (1/cottage) | 3        |
| Wooden stand (1/cottage)       | 3        |
| Large mirrors (1/cottage)      | 3        |
| Toilet mirrors (1/cottage)     | 3        |
| Trash bin (1/cottage)          | 3        |
| Toilet trash bin (1/cottage)   | 3        |
| Wooden table (1/cottage)       | 3        |

| <b>Furniture and Fixtures</b>           | <b>quantity</b> |
|-----------------------------------------|-----------------|
| Wooden chairs (2/cottage)               | 6               |
| Table lamps (1/cottage)                 | 3               |
| Mattresses (3/cottage)                  | 9               |
| Hands' towel 50 * 80 (2/cottage)        | 6               |
| Bathroom rug 50 * 80 (2/cottage)        | 3               |
| Towel 57 * 152 (2/cottage)              | 9               |
| Face towel 30 * 30 (2/cottage)          | 6               |
| Shower robe (2/cottage)                 | 3               |
| Pillow 50 * 90 (2/cottage)              | 9               |
| Pillow cover 55 * 95 (2/cottage)        | 6               |
| Small bed linens (2/cottage)            | 3               |
| Small bed blanket 200 * 280 (2/cottage) | 9               |
| Small bed cover (2/cottage)             | 6               |
| Men clothes hanger (2/cottage)          | 3               |
| Women clothes hanger (2/cottage)        | 9               |
| Satin clothes hanger (2/cottage)        | 6               |
| Security locks (2/cottage)              | 9               |
| Curtains (4m/cottage)                   | 12              |
| <b>Tents' supplies</b>                  |                 |
| Mattresses 5/tent                       | 30              |
| Trash bin                               | 6               |
| Pillow 50 * 90                          | 30              |
| Pillow cover 55 * 95                    | 30              |
| Small bed blanket 200 * 280             | 30              |
| Mattresses cover                        | 30              |
| <b>Restaurant supplies</b>              |                 |
| Chair (4 chairs per table)              | 180             |
| Table                                   | 45              |
| WCs                                     | 2               |
| Accounting cash box                     | 1               |
| Cash box                                | 1               |
| <b>Security building supplies</b>       |                 |
| Desk                                    | 1               |
| Chair                                   | 1               |

| <b>Furniture and Fixtures</b>                | <b>quantity</b> |
|----------------------------------------------|-----------------|
| Plastic chair                                | 2               |
| Trash bin                                    | 1               |
| <b>Administration and reception supplies</b> |                 |
| Desk                                         | 1               |
| Desk set                                     | 1               |
| Chair                                        | 1               |
| Carpet                                       | 1               |
| Curtain                                      | 1               |
| Trash bin                                    | 1               |
| Safe                                         | 1               |
| Coffee table                                 | 1               |
| Ashtrays                                     | 1               |
| Clock                                        | 1               |
| <b>Praying room supplies</b>                 |                 |
| Caret (2m)                                   | 24              |
| Plastic chairs                               | 3               |
| Miscellaneous (not mentioned in fittings)    | Deducted        |

### 3.5 Machinery and Equipment

The following tables indicates the machines and equipment required for the Project:

Table 22: Machinery and equipment required

| Machinery and Equipment                            | quantity |
|----------------------------------------------------|----------|
| <b>Cottages' / tents' supplies</b>                 |          |
| 1 Large dishes / cottage or tent                   | 10       |
| 1 Small dishes / cottage or tent                   | 10       |
| 1 Fork / cottage or tent                           | 10       |
| 1 Knife / cottage or tent                          | 10       |
| 1 Table spoon / cottage or tent                    | 10       |
| Tea spoon / cottage or tent                        | 10       |
| 1 Coffee cup/ cottage or tent                      | 10       |
| 1 Coffee cup saucer / cottage or tent              | 10       |
| 1 cup of water / cottage or tent                   | 10       |
| Cottages' ACs                                      | 3        |
| Tents' fans                                        | 6        |
| Heaters                                            | 3        |
| Small fridges for cottages                         | 3        |
| Oven + cooker                                      | 9        |
| Solar tank                                         | 1        |
| <b>Restaurant (kitchen) supplies</b>               |          |
| Cooker 4 outputs                                   | 2        |
| Flat trays                                         | 1        |
| Trays                                              | 1        |
| Deep fryer                                         | 1        |
| Barbecue fridge – horizontal                       | 1        |
| Barbecue fridge – vertical                         | 1        |
| Vegetables' fridge                                 | 1        |
| Preparation fridge                                 | 1        |
| Charcoal grill                                     | 1        |
| Cooking utensils (trays, casserole and show tools) | 1        |
| Dish washer                                        | 1        |

| <b>Machinery and Equipment</b>                      | <b>quantity</b> |
|-----------------------------------------------------|-----------------|
| Wash-basin                                          | 1               |
| Basin tap                                           | 1               |
| Large dishes                                        | 150             |
| Small dishes                                        | 150             |
| Fork                                                | 150             |
| Knife                                               | 150             |
| Table spoon                                         | 150             |
| Tea spoon                                           | 150             |
| Coffee cup                                          | 150             |
| Coffee cup saucer                                   | 150             |
| Water cup                                           | 150             |
| <b>Administration and reception rooms' supplies</b> |                 |
| PC                                                  | 1               |
| Telephone                                           | 1               |
| CCTV                                                | 1               |
| AC                                                  | 1               |
| PC                                                  | 1               |
| Coffee-maker                                        | 1               |
| Mini-bar fridge                                     | 1               |
| Printer                                             | 1               |
| Router                                              | 1               |
| Music device + amplifiers                           | 1               |
| <b>Security room supplies</b>                       |                 |
| PC                                                  | 1               |
| Telephone                                           | 1               |
| TV                                                  | 1               |
| AC                                                  | 1               |
| <b>Praying room supplies</b>                        |                 |
| Internal sound system                               | 1               |
| External Amplifiers                                 | 1               |
| Plastic chairs                                      | 3               |
| <b>External yards and playgrounds' supplies</b>     |                 |

| Machinery and Equipment  | quantity |
|--------------------------|----------|
| Wooden tables and chairs | 45       |
| Swings                   | 2        |
| Sliders                  | 2        |
| See-Saw                  | 2        |
| Barbecue grill           | 25       |

### 3.6 Transportation means and vehicles

The following table indicates the necessary vehicles and transportation means:

Table 23: vehicles and transportation means

| Vehicles and transportation means            | العدد |
|----------------------------------------------|-------|
| Bike, including initial safety equipment     | 10    |
| Medium-size transportation vehicle (pick-up) | 1     |

## 3.7 Legal Requirements and Procedures

| <b>Legal requirements</b>                                  | <b>Remark</b>                                                                                                                                                                                                                                                                                                                                                                                                    |
|------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Company registration</b>                                | The first steps for establishing the project include establishing project company through the Ministry of Industry and Trade as per the legal procedures for the purposes of feasibility study; and it was assumed to establish project company as a limited liability one                                                                                                                                       |
| <b>Establishing Project buildings</b>                      | As initial procedure; the engineering drawings of the project buildings shall be obtained through consultant engineering office in order to ratify drawings by the Engineers' Association as requirement for issuing construction licenses from Municipality                                                                                                                                                     |
| <b>Issuing professions' license</b>                        | Professions' licenses are issued through municipality provided achieving the requirements of environment, Civil Defense, Occupational health and safety controlled by municipalities.<br><br>Copy of the trade register certificate of the company along with the receipt of membership in the chamber of industry shall be attached for obtaining the professions' license qualifying the project for operation |
| <b>Other legal requirements related to project purpose</b> | Other legal requirements might be emerging according to the nature of work and municipalities' requirements such as approvals from the Ministry of Interior and Labor                                                                                                                                                                                                                                            |

## 4. Chapter IV: Financial Analysis

The main objective of this study is studying a preliminary economic feasibility of the project for constructing a handicraft city at Zarqa Municipality. This study was based on financial and technical assumptions to reach the results that help to calculate profitability of the Project.

## 4.1 Assumptions and Facts

The duration of the financial study is 10 years. As for the annual increase rates, the following assumptions were taken as shown on the tables below:

Table 24: Annual increase rates



| Annual Increase rates                                                     | Annual Rate |
|---------------------------------------------------------------------------|-------------|
| Selling prices are increasing annually by <sup>(1)</sup>                  | 2.50%       |
| Expenses are increasing annually by <sup>(2)</sup>                        | 2.50%       |
| Salaries, wages and equivalents are increasing annually by <sup>(3)</sup> | 2.3%        |

Table 25: Income tax assumptions - compulsory reserve

| Other Assumptions                                        | Amount |
|----------------------------------------------------------|--------|
| Income tax rate <sup>(1)</sup>                           | 20%    |
| Discount percentage of income tax <sup>(2)</sup>         | 60%    |
| Income tax rate after calculation of discount percentage | 8%     |
| Percentage of the compulsory reserve <sup>(3)</sup>      | 10%    |

(1) Source: Jordan Income Tax Law No. 34 for the year 2014

(2) Income Tax Reduction Act in the Least Developed Area No. 44 for the year 2016

(3) On assumption that the type of company is limited

## 4.2 Capital Expenditures

The estimated capital cost of the Project is JD 733,332 covering cost of construction works, machinery and equipment, furniture and fixtures, vehicles and transportation means, pre-operating expenses and the initial working capital. Cost of assets is JD 643,095, pre-operating expenses are JD 72,732 and the initial working capital is JD 17,503. The following table summarizes the capital expenditures of the proposed Project in Jordanian Dinars:

Table 26: Summary of Capital Expenditures

| Summary of capital expenditures   | Cost (JD)      | Hedging Ratio | Cost (JD)      | % From Total |
|-----------------------------------|----------------|---------------|----------------|--------------|
| Construction works                | 461,800        | 10%           | 507,980        | %69.3        |
| Machinery and Equipment           | 55,742         | 10%           | 61,316         | %8.4         |
| Furniture and Fixtures            | 36,692         | 10%           | 40,361         | %5.5         |
| Vehicles and transportation means | 30,400         | 10%           | 33,440         | %4.6         |
| Pre-operating expenses            | 66,120         | 10%           | 72,732         | %9.9         |
| Initial Working capital           | 15,912         | 10%           | 17,503         | %2.4         |
| <b>Total (JD)</b>                 | <b>666,666</b> |               | <b>733,332</b> | <b>100%</b>  |

The following figure shows the components of the capital expenditures, where percentage of initial working capital is the highest in capital costs:

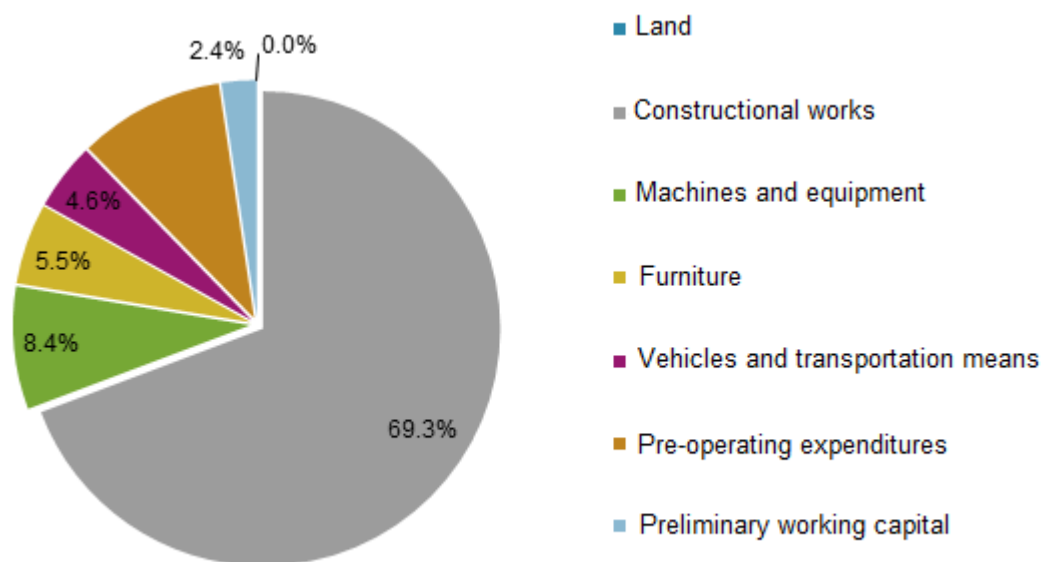


Figure 6: Percentages of capital expenditures' components

#### 4.2.1 Construction Works

The following table shows construction works of the Project, as follows:

Table 27: Construction works required for the Project

| Construction Works                       | Cost (JD/m <sup>2</sup> ) | Area (m <sup>2</sup> ) | Total Cost per tent/ cottage | Number of entities | Total Cost (JD) |
|------------------------------------------|---------------------------|------------------------|------------------------------|--------------------|-----------------|
| Cost of cottage installation             | 350                       | 40                     | 14,000                       | 3                  | 42,000          |
| Cost of tent installation                | 50                        | 40                     | 2,000                        | 6                  | 12,000          |
| Works of preparing cottage or tent floor | 25.0                      | 40                     | 1,000                        | 10                 | 10,000          |
| Fence                                    | 60.0                      | 400                    | 24,000                       | 1                  | 24,000          |
| Restaurant building                      | 350.0                     | 250                    | 87,500                       | 1                  | 87,500          |
| Public facilities                        | 250.0                     | 50                     | 12,500                       | 6                  | 75,000          |
| Guards room                              | 250.0                     | 20                     | 5,000                        | 1                  | 5,000           |
| Administration and reception building    | 300.0                     | 50                     | 15,000                       | 1                  | 15,000          |
| Motel campus corridors paved for parking | 10.0                      | 2,000                  | 20,000                       | 1                  | 20,000          |
| Kids' play areas                         | 20.0                      | 250                    | 5,000                        | 1                  | 5,000           |
| Commercial shops                         | 200.0                     | 24                     | 4,800                        | 6                  | 28,800          |
| Water well (m3)                          | 50.0                      | 100                    | 5,000                        | 1                  | 5,000           |
| Landscaping                              | 50.0                      | 2,000                  | 100,000                      | 1                  | 100,000         |
| Warehouse                                | 200.0                     | 100                    | 20,000                       | 1                  | 20,000          |
| Praying building                         | 250.0                     | 50                     | 12,500                       | 1                  | 12,500          |
| <b>Total Cost</b>                        |                           |                        |                              |                    | <b>461,800</b>  |

#### 4.2.2 Transportation means and vehicles

The following table shows the vehicles and transportation means necessary for the project:

Table 28: vehicles and transportation means required for the Project

| Vehicles and transportation means            | Quantity | Unit Cost/ JOD | Total Cost (JD) |
|----------------------------------------------|----------|----------------|-----------------|
| Bike, including initial safety equipment     | 10       | 700            | 7,000           |
| Medium-size transportation vehicle (pick-up) | 1        | 23,400         | 23,400          |
| <b>Total Cost</b>                            |          |                | <b>30,400</b>   |

### 4.2.3 Furniture and Fixtures

The following table shows the list of furniture and fixtures required for the Project along with cost:

Table 29: Furniture and fixtures required for the Project

| Furniture and Fixtures                  | Quantity | Unit Cost (JD) | Total Cost (JD) |
|-----------------------------------------|----------|----------------|-----------------|
| <b>Cottages' supplies</b>               |          |                |                 |
| Small-size bed (2/cottage)              | 6        | 180            | 1,080           |
| Small-size closets (1/cottage)          | 3        | 80             | 240             |
| Wooden stand (1/cottage)                | 3        | 120            | 360             |
| Large mirrors (1/cottage)               | 3        | 50             | 150             |
| Toilet mirrors (1/cottage)              | 3        | 25             | 75              |
| Trash bin (1/cottage)                   | 3        | 6              | 18              |
| Toilet trash bin (1/cottage)            | 3        | 5              | 15              |
| Wooden table (1/cottage)                | 3        | 75             | 225             |
| Wooden chairs (2/cottage)               | 6        | 50             | 300             |
| Table lamps (1/cottage)                 | 3        | 25             | 75              |
| Mattresses (3/cottage)                  | 9        | 40             | 360             |
| Hands' towel 50 * 80 (2/cottage)        | 6        | 1.74           | 10              |
| Bathroom rug 50 * 80 (2/cottage)        | 3        | 2.90           | 9               |
| Towel 57 * 152 (2/cottage)              | 9        | 4.58           | 41              |
| Face towel 30 * 30 (2/cottage)          | 6        | 0.41           | 2               |
| Shower robe (2/cottage)                 | 3        | 13.11          | 39              |
| Pillow 50 * 90 (2/cottage)              | 9        | 3.77           | 34              |
| Pillow cover 55 * 95 (2/cottage)        | 6        | 1.97           | 12              |
| Small bed linens (2/cottage)            | 3        | 14.15          | 42              |
| Small bed blanket 200 * 280 (2/cottage) | 9        | 18.21          | 164             |
| Small bed cover (2/cottage)             | 6        | 8.47           | 51              |
| Men clothes hanger (2/cottage)          | 3        | 0.928          | 3               |
| Women clothes hanger (2/cottage)        | 9        | 0.986          | 9               |
| Satin clothes hanger (2/cottage)        | 6        | 0.87           | 5               |
| Security locks (2/cottage)              | 9        | 0.29           | 3               |
| Curtains (4m/cottage)                   | 12       | 120            | 1,440           |
| <b>Tents' supplies</b>                  |          |                |                 |
| Mattresses 5/tent                       | 30       | 40             | 1,200           |
| Trash bin                               | 6        | 6              | 36              |

| <b>Furniture and Fixtures</b>                    | <b>Quantity</b> | <b>Unit Cost (JD)</b> | <b>Total Cost (JD)</b> |
|--------------------------------------------------|-----------------|-----------------------|------------------------|
| Pillow 50 * 90                                   | 30              | 3.77                  | 113                    |
| Pillow cover 55 * 95                             | 30              | 1.97                  | 59                     |
| Small bed blanket 200 * 280                      | 30              | 18.21                 | 546                    |
| Mattresses cover                                 | 30              | 8.47                  | 254                    |
| <b>Restaurant supplies</b>                       |                 |                       |                        |
| Chair (4 chairs per table)                       | 180             | 35                    | 6,300                  |
| Table                                            | 45              | 120                   | 5,400                  |
| WCs                                              | 2               | 4,000                 | 8,000                  |
| Accounting cash box                              | 1               | 120                   | 120                    |
| Cash box                                         | 1               | 200                   | 200                    |
| <b>Security building supplies</b>                |                 |                       |                        |
| Desk                                             | 1               | 450                   | 450                    |
| Chair                                            | 1               | 85                    | 85                     |
| Plastic chair                                    | 2               | 35                    | 70                     |
| Trash bin                                        | 1               | 6                     | 6                      |
| <b>Administration and reception supplies</b>     |                 |                       |                        |
| Desk                                             | 1               | 450                   | 450                    |
| Desk set                                         | 1               | 1,200                 | 1,200                  |
| Chair                                            | 1               | 95                    | 95                     |
| Carpet                                           | 1               | 120                   | 120                    |
| Curtain                                          | 1               | 120                   | 120                    |
| Trash bin                                        | 1               | 6                     | 6                      |
| Safe                                             | 1               | 250                   | 250                    |
| Coffee table                                     | 1               | 350                   | 350                    |
| Ashtrays                                         | 1               | 2                     | 2                      |
| Clock                                            | 1               | 12                    | 12                     |
| <b>Praying room supplies</b>                     |                 |                       |                        |
| Caret (2m)                                       | 24              | 120                   | 2,880                  |
| Plastic chairs                                   | 3               | 35                    | 105                    |
| <b>Miscellaneous (not mentioned in fittings)</b> | -               | -                     | 3,500                  |
| <b>Total</b>                                     |                 |                       | <b>36,692</b>          |

### 4.3 Machinery and Equipment

The following table shows the necessary machinery and equipment:

Table 30: Machinery and equipment required

| Machinery and Equipment                            | quantity | Unit Cost (JD) | Total Cost (JD) |
|----------------------------------------------------|----------|----------------|-----------------|
| <b>Cottages' / tents' supplies</b>                 |          |                |                 |
| 1 Large dishes / cottage or tent                   | 10       | 1.8            | 18              |
| 1 Small dishes / cottage or tent                   | 10       | 1.2            | 12              |
| 1 Fork / cottage or tent                           | 10       | 1.5            | 15              |
| 1 Knife / cottage or tent                          | 10       | 1.5            | 15              |
| 1 Table spoon / cottage or tent                    | 10       | 1.5            | 15              |
| Tea spoon / cottage or tent                        | 10       | 1.5            | 15              |
| 1 Coffee cup/ cottage or tent                      | 10       | 1.0            | 10              |
| 1 Coffee cup saucer / cottage or tent              | 10       | 1.0            | 10              |
| 1 cup of water / cottage or tent                   | 10       | 1.2            | 12              |
| Cottages' ACs                                      | 3        | 650            | 1,950           |
| Tents' fans                                        | 6        | 30             | 180             |
| Heaters                                            | 3        | 150            | 450             |
| Small fridges for cottages                         | 3        | 150            | 450             |
| Oven + cooker                                      | 9        | 150            | 1,350           |
| Solar tank                                         | 1        | 3,000          | 3,000           |
| <b>Restaurant (kitchen) supplies</b>               |          |                |                 |
| Cooker 4 outputs                                   | 2        | 1,200          | 2,400           |
| Flat trays                                         | 1        | 800            | 800             |
| Trays                                              | 1        | 350            | 350             |
| Deep fryer                                         | 1        | 400            | 400             |
| Barbecue fridge – horizontal                       | 1        | 350            | 350             |
| Barbecue fridge – vertical                         | 1        | 500            | 500             |
| Vegetables' fridge                                 | 1        | 350            | 350             |
| Preparation fridge                                 | 1        | 350            | 350             |
| Charcoal grill                                     | 1        | 350            | 350             |
| Cooking utensils (trays, casserole and show tools) | 1        | 5,000          | 5,000           |

| Machinery and Equipment                             | quantity | Unit Cost (JD) | Total Cost (JD) |
|-----------------------------------------------------|----------|----------------|-----------------|
| Dish washer                                         | 1        | 800            | 800             |
| Wash-basin                                          | 1        | 800            | 800             |
| Basin tap                                           | 1        | 200            | 200             |
| Large dishes                                        | 150      | 1.8            | 270             |
| Small dishes                                        | 150      | 1.2            | 180             |
| Fork                                                | 150      | 1.5            | 225             |
| Knife                                               | 150      | 1.5            | 225             |
| Table spoon                                         | 150      | 1.5            | 225             |
| Tea spoon                                           | 150      | 1.5            | 225             |
| Coffee cup                                          | 150      | 1.0            | 150             |
| Coffee cup saucer                                   | 150      | 1.0            | 150             |
| Water cup                                           | 150      | 1.2            | 180             |
| <b>Administration and reception rooms' supplies</b> |          |                |                 |
| PC                                                  | 1        | 350            | 350             |
| Telephone                                           | 1        | 25             | 25              |
| CCTV                                                | 1        | 1,200          | 1,200           |
| AC                                                  | 1        | 650            | 650             |
| PC                                                  | 1        | 350            | 350             |
| Coffee-maker                                        | 1        | 35             | 35              |
| Mini-bar fridge                                     | 1        | 140            | 140             |
| printer                                             | 1        | 250            | 250             |
| Router                                              | 1        | 25             | 25              |
| Music device + amplifiers                           | 1        | 800            | 800             |
| <b>Security room supplies</b>                       |          |                |                 |
| PC                                                  | 1        | 350            | 350             |
| Telephone                                           | 1        | 25             | 25              |
| TV                                                  | 1        | 350            | 350             |
| AC                                                  | 1        | 650            | 650             |
| <b>Praying room supplies</b>                        |          |                |                 |
| Internal sound system                               | 1        | 150            | 150             |
| External Amplifiers                                 | 1        | 55             | 55              |
| Plastic chairs                                      | 3        | 35             | 105             |
| <b>External yards and playgrounds' supplies</b>     |          |                |                 |
| Wooden tables and chairs                            | 45       | 200            | 9,000           |



| Machinery and Equipment | quantity | Unit Cost (JD) | Total Cost (JD) |
|-------------------------|----------|----------------|-----------------|
| Swings                  | 2        | 3,000          | 6,000           |
| Sliders                 | 2        | 3,000          | 6,000           |
| See-Saw                 | 2        | 3,000          | 6,000           |
| Barbecue grill          | 25       | 50             | 1,250           |
| <b>Total (JOD)</b>      |          |                | <b>55,742</b>   |

#### 4.3.1 Pre-operating Expenses

Consist of a set of expenses that are expended before commencing the Project and before realizing any revenue, including the following:

Table 31: Pre-operating expenses

| Pre-operating Expenses              | Estimated Cost (JD) |
|-------------------------------------|---------------------|
| Government fees and licenses        | 10,000              |
| Design and supervision expenditures | 31,620              |
| Marketing expenditures              | 20,000              |
| Miscellaneous                       | 4,500               |
| <b>Total</b>                        | <b>66,120</b>       |

#### 4.3.2 Initial Working Capital

The initial working capital reflects the Project's need for the required liquidity to cover the costs incurred on operating the Project, until that time when the Project starts collecting money from customers. The following table shows components of the initial working capital:

Table 32: Initial working capital

| Initial Working Capital             | # of Months | Percentage | Estimated Cost (JD) |
|-------------------------------------|-------------|------------|---------------------|
| Operating costs                     | 2           | %17        | 9,710               |
| Administrative and general expenses | 2           | %17        | 94                  |
| Marketing expenditures              | 2           | %17        | 833                 |
| Direct salaries                     | 2           | %17        | 5,275               |
| <b>Total</b>                        |             |            | <b>15,912</b>       |

#### 4.4 Depreciation of Assets

The following table summarizes cost of fixed assets, percentage of annual additions and annual depreciation rate:

Table 33: Cost of fittings, capital expenditures and annual depreciation rates

| Cost of fittings, capital expenditures and annual depreciation rates | Cost (JD)      | Depreciation % | Annual Addition % |
|----------------------------------------------------------------------|----------------|----------------|-------------------|
| Construction works                                                   | 507,980        | %5.0           | %0.0              |
| Machinery and equipment                                              | 61,316         | %10.0          | %5.0              |
| Furniture and fixtures                                               | 40,361         | %10.0          | %5.0              |
| Vehicles and means of transport                                      | 33,440         | %10.0          | %5.0              |
| <b>Total</b>                                                         | <b>643,098</b> |                |                   |

The following tables illustrate the annual increases on fixed assets, depreciations, book value of assets for ten years, from the year of starting operations:

Table 34: Depreciation and annual increase on construction works

| Construction Works | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 |
|--------------------|------|------|------|------|------|------|------|------|------|------|
|--------------------|------|------|------|------|------|------|------|------|------|------|

|                                         |                |                |                |                |                |                |                |                |                |                |
|-----------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| <b>Historical cost</b>                  | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        | 507,980        |
| <b>Additions</b>                        | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| <b>Total</b>                            | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> | <b>507,980</b> |
| <b>Depreciation %</b>                   | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      | <b>%5</b>      |
| <b>Annual Depreciation Expenses</b>     | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         | 25,399         |
| <b>Opening Accumulated Depreciation</b> | 0              | 25,399         | 50,798         | 76,197         | 101,596        | 126,995        | 152,394        | 177,793        | 203,192        | 228,591        |
| <b>Ending Accumulated Depreciation</b>  | 25,399         | 50,798         | 76,197         | 101,596        | 126,995        | 152,394        | 177,793        | 203,192        | 228,591        | 253,990        |
| <b>Net Book Value</b>                   | <b>482,581</b> | <b>457,182</b> | <b>431,783</b> | <b>406,384</b> | <b>380,985</b> | <b>355,586</b> | <b>330,187</b> | <b>304,788</b> | <b>279,389</b> | <b>253,990</b> |

Table 35: Depreciation and annual increase on machinery and equipment (JD)

| <b>machinery and equipment</b>          | <b>2019</b>   | <b>2020</b>   | <b>2021</b>   | <b>2022</b>   | <b>2023</b>   | <b>2024</b>   | <b>2025</b>   | <b>2026</b>   | <b>2027</b>   | <b>2028</b>   |
|-----------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| <b>Historical cost</b>                  | 61,316        | 61,316        | 64,382        | 67,601        | 70,981        | 74,530        | 78,257        | 82,170        | 86,278        | 90,592        |
| <b>Additions</b>                        | 0             | 3,066         | 3,219         | 3,380         | 3,549         | 3,727         | 3,913         | 4,108         | 4,314         | 4,530         |
| <b>Total</b>                            | <b>61,316</b> | <b>64,382</b> | <b>67,601</b> | <b>70,981</b> | <b>74,530</b> | <b>78,257</b> | <b>82,170</b> | <b>86,278</b> | <b>90,592</b> | <b>95,122</b> |
| <b>Depreciation %</b>                   | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    | <b>%10</b>    |
| <b>Annual Depreciation Expenses</b>     | 6,132         | 6,438         | 6,760         | 7,098         | 7,453         | 7,826         | 8,217         | 8,628         | 9,059         | 9,512         |
| <b>Opening Accumulated Depreciation</b> | 0             | 6,132         | 12,570        | 19,330        | 26,428        | 33,881        | 41,707        | 49,924        | 58,552        | 67,611        |
| <b>Ending Accumulated Depreciation</b>  | 6,132         | 12,570        | 19,330        | 26,428        | 33,881        | 41,707        | 49,924        | 58,552        | 67,611        | 77,123        |
| <b>Net Book Value</b>                   | <b>55,185</b> | <b>51,812</b> | <b>48,271</b> | <b>44,553</b> | <b>40,649</b> | <b>36,550</b> | <b>32,246</b> | <b>27,727</b> | <b>22,981</b> | <b>17,999</b> |

Table 36: Depreciation and annual increase on furniture (JD)

| Furniture                        | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|----------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Historical cost                  | 40,361        | 40,361        | 42,380        | 44,498        | 46,723        | 49,060        | 51,513        | 54,088        | 56,793        | 59,632        |
| Additions                        | 0             | 2,018         | 2,119         | 2,225         | 2,336         | 2,453         | 2,576         | 2,704         | 2,840         | 2,982         |
| <b>Total</b>                     | <b>40,361</b> | <b>42,380</b> | <b>44,498</b> | <b>46,723</b> | <b>49,060</b> | <b>51,513</b> | <b>54,088</b> | <b>56,793</b> | <b>59,632</b> | <b>62,614</b> |
| <i>Depreciation %</i>            | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    |
| Annual Depreciation Expenses     | 4,036         | 4,238         | 4,450         | 4,672         | 4,906         | 5,151         | 5,409         | 5,679         | 5,963         | 6,261         |
| Opening Accumulated Depreciation | 0             | 4,036         | 8,274         | 12,724        | 17,396        | 22,302        | 27,454        | 32,862        | 38,542        | 44,505        |
| Ending Accumulated Depreciation  | 4,036         | 8,274         | 12,724        | 17,396        | 22,302        | 27,454        | 32,862        | 38,542        | 44,505        | 50,766        |
| <b>Net Book Value</b>            | <b>36,325</b> | <b>34,105</b> | <b>31,775</b> | <b>29,327</b> | <b>26,757</b> | <b>24,059</b> | <b>21,226</b> | <b>18,251</b> | <b>15,127</b> | <b>11,848</b> |

Table 37: Depreciation and annual increase on furniture and fixtures (JD)

| Furniture and Fixtures           | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|----------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Historical cost                  | 33,440        | 33,440        | 35,112        | 36,868        | 38,711        | 40,647        | 42,679        | 44,813        | 47,053        | 49,406        |
| Additions                        | 0             | 1,672         | 1,756         | 1,843         | 1,936         | 2,032         | 2,134         | 2,241         | 2,353         | 2,470         |
| <b>Total</b>                     | <b>33,440</b> | <b>35,112</b> | <b>36,868</b> | <b>38,711</b> | <b>40,647</b> | <b>42,679</b> | <b>44,813</b> | <b>47,053</b> | <b>49,406</b> | <b>51,876</b> |
| <i>Depreciation %</i>            | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    | <i>%10</i>    |
| Annual Depreciation Expenses     | 3,344         | 3,511         | 3,687         | 3,871         | 4,065         | 4,268         | 4,481         | 4,705         | 4,941         | 5,188         |
| Opening Accumulated Depreciation | 0             | 3,344         | 6,855         | 10,542        | 14,413        | 18,478        | 22,746        | 27,227        | 31,932        | 36,873        |
| Ending Accumulated Depreciation  | 3,344         | 6,855         | 10,542        | 14,413        | 18,478        | 22,746        | 27,227        | 31,932        | 36,873        | 42,060        |
| <b>Net Book Value</b>            | <b>30,096</b> | <b>28,257</b> | <b>26,326</b> | <b>24,298</b> | <b>22,169</b> | <b>19,933</b> | <b>17,586</b> | <b>15,121</b> | <b>12,533</b> | <b>9,816</b>  |

Table 38: Summary of capital costs, additions and annual depreciation (JD)

| Summary of capital costs, additions and annual depreciation | 2019           | 2020           | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027           | 2028           |
|-------------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| <b>Total Fixed Assets</b>                                   | 643,098        | 649,854        | 656,947        | 664,396        | 672,216        | 680,428        | 689,051        | 698,104        | 707,610        | 717,592        |
| <b>Total Depreciation Expenses</b>                          | 38,911         | 39,586         | 40,296         | 41,041         | 41,823         | 42,644         | 43,506         | 44,411         | 45,362         | 46,360         |
| <b>Total Accumulated Depreciation</b>                       | 38,911         | 78,497         | 118,793        | 159,833        | 201,656        | 244,300        | 287,806        | 332,217        | 377,579        | 423,940        |
| <b>Total Additions</b>                                      | 0              | 6,756          | 7,094          | 7,448          | 7,821          | 8,212          | 8,622          | 9,054          | 9,506          | 9,982          |
| <b>Total Net Book Value</b>                                 | <b>604,187</b> | <b>571,356</b> | <b>538,154</b> | <b>504,562</b> | <b>470,560</b> | <b>436,128</b> | <b>401,245</b> | <b>365,887</b> | <b>330,031</b> | <b>293,652</b> |

#### 4.5 Financing Resources

The financing structure required for the projects comprises of loans and owners' equity. The investment cost of this Project was estimated at JD 733,332. This amount was determined through the fixed assets, which include land, construction works, machinery and equipment, furniture and fixtures, pre-operating expenses and initial working capital. (40%) of the Project will be financed through loans amounting JD 293,333 and the remaining (60%) through self-financing (owner' equity) amounting JD 439,999. The following table shows the general structure of funding required:

Table 39: Financing resources required

| Financing resources             | Amount         | Percentage     |
|---------------------------------|----------------|----------------|
| Owners' equity (Self-financing) | 439,999        | %60            |
| Loans                           | 293,333        | %40            |
| <b>Total</b>                    | <b>733,332</b> | <b>%100</b>    |
| Financing utilization           | Amount         | Percentage     |
| Capital Expenditures            | 643,098        | %87.70         |
| Pre-operating Expenditures      | 72,732         | %9.92          |
| Working Capital                 | 17,503         | %2.39          |
| <b>Total</b>                    | <b>733,332</b> | <b>%100.00</b> |

The following table shows the loan assumptions used:

Table 40: Loan assumptions

| Loan Assumptions          |      |
|---------------------------|------|
| Loan Percentage           | 40%  |
| Owners' equity            | 60%  |
| Interest rate (1)         | 9.5% |
| Repayment of loan - years | 5    |
| Year of loan              | 2018 |
| Grace period (one year)   | 1    |

The following table shows the schedule financing loan used:

Table 41: financing loans used

|                          | 2022           | 2023           | 2024           | 2025           | 2026           | 2027          | 2028     | 2029     | 2030     | 2031     |
|--------------------------|----------------|----------------|----------------|----------------|----------------|---------------|----------|----------|----------|----------|
| <b>Opening balance</b>   | <b>293,333</b> | <b>293,333</b> | <b>244,805</b> | <b>191,667</b> | <b>133,481</b> | <b>69,767</b> | <b>0</b> | <b>0</b> | <b>0</b> | <b>0</b> |
| Interests                | 27,867         | 23,256         | 18,208         | 12,681         | 6,628          | 0             | 0        | 0        | 0        | 0        |
| Capital                  | 0              | 48,528         | 53,138         | 58,186         | 63,714         | 69,767        | 0        | 0        | 0        | 0        |
| Repayment of loan        | 27,867         | 71,784         | 71,346         | 70,867         | 70,342         | 69,767        | 0        | 0        | 0        | 0        |
| <b>Ending balance</b>    | <b>293,333</b> | <b>244,805</b> | <b>191,667</b> | <b>133,481</b> | <b>69,767</b>  | <b>0</b>      | <b>0</b> | <b>0</b> | <b>0</b> | <b>0</b> |
| Current part of the loan | 48,528         | 53,138         | 58,186         | 63,714         | 69,767         | 0             | 0        | 0        | 0        | 0        |
| Long-term loans          | 244,805        | 191,667        | 133,481        | 69,767         | 0              | 0             | 0        | 0        | 0        | 0        |



#### 4.6 Annual Revenues

The revenues' hypotheses for visitors (overnight and day) are based on percentage of visitors estimated by 15% of the total spending an amount equaling price of services to achieve the expected revenues. Hypotheses does not mean that other visitors not spending on services provided by the project. These revenues equal visitor expenditures' rate per day of 7 JOD which is less than the rate published in the local tourism survey. Overnight Visitors' expenditures' rate on stay, food and beverage services reached around 19 JOD, which is close to the rate published in the local tourism survey; considering that a category of the overnight visitors stay at their relatives and friends' place without bearing accommodation cost; whereas the percentage of tourism stays spent by visitors in local tourism reached 71%.

The following table indicates project revenues' hypotheses; whereas the total day and overnight visitors' expenditures are calculated based on the visitor expenditures' rate over the table items as follows:

Table 42: Expected Project's revenue

| Revenues' hypotheses                                    | Value (JOD) |
|---------------------------------------------------------|-------------|
| <b>Overnight Visitors</b>                               |             |
| Cottage fees (including breakfast)                      | 80          |
| Tent fees (including breakfast)                         | 40          |
| <b>Day visitors</b>                                     |             |
| Entry fees per person (including facilities)            | 2           |
| <b>Restaurant</b>                                       |             |
| Breakfast                                               | 5           |
| Lunch                                                   | 10          |
| Dinner                                                  | 10          |
| Snacks                                                  | 5           |
| Shisha                                                  | 3.5         |
| Hot and cold drinks                                     | 2           |
| <b>Total restaurant expenditures</b>                    |             |
| Total expenditures for Overnight Visitors at restaurant | 30.5        |
| Total expenditures for Day visitors at restaurant       | 35.5        |
| <b>Other resources</b>                                  |             |
| Mountain bike lease/ hour                               | 10          |
| Shops' lease/ month                                     | 180         |

#### 4.6.1 Overnight Visitors' revenues

The following table indicates the annual revenues expected from the suggested project for Overnight Visitors:

Table 43: Expected Project annual revenues from Overnight Visitors

| Overnight revenues' hypotheses      | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|-------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Number of cottages' nights of stay  | 111           | 119           | 126           | 134           | 143           | 152           | 161           | 172           | 182           | 194           |
| Cottages' lease                     | 80.0          | 81.8          | 83.7          | 85.6          | 87.5          | 89.5          | 91.6          | 93.7          | 95.8          | 98.0          |
| Total Cottages' lease in JOD        | <b>8,880</b>  | <b>9,737</b>  | <b>10,545</b> | <b>11,470</b> | <b>12,520</b> | <b>13,611</b> | <b>14,746</b> | <b>16,112</b> | <b>17,438</b> | <b>19,011</b> |
| Number of tents' nights of stay     | 296           | 314           | 335           | 355           | 377           | 401           | 427           | 454           | 483           | 513           |
| Tents' lease                        | 40.0          | 40.9          | 41.8          | 42.8          | 43.8          | 44.8          | 45.8          | 46.8          | 47.9          | 49.0          |
| Total tents' lease in JOD           | <b>11,840</b> | <b>12,846</b> | <b>14,018</b> | <b>15,194</b> | <b>16,503</b> | <b>17,954</b> | <b>19,554</b> | <b>21,264</b> | <b>23,138</b> | <b>25,136</b> |
| <b>Overnight Visitors' revenues</b> | <b>20,720</b> | <b>22,583</b> | <b>24,563</b> | <b>26,664</b> | <b>29,023</b> | <b>31,565</b> | <b>34,299</b> | <b>37,376</b> | <b>40,576</b> | <b>44,147</b> |

#### 4.6.2 Day visitors' revenues

The following table indicates the annual revenues expected from the suggested project for day visitors:

Table 44: Expected Project annual revenues from Day visitors

| Revenues' hypotheses of Day visitors            | 2019         | 2020         | 2021         | 2022         | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|-------------------------------------------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Number of Day visitors                          | 3,813        | 4,054        | 4,310        | 4,583        | 4,873         | 5,182         | 5,509         | 5,858         | 6,228         | 6,623         |
| Entrance fees per person (including facilities) | 2.0          | 2.0          | 2.1          | 2.1          | 2.2           | 2.2           | 2.3           | 2.3           | 2.4           | 2.4           |
| <b>Revenues of day visitors</b>                 | <b>7,625</b> | <b>8,293</b> | <b>9,019</b> | <b>9,808</b> | <b>10,666</b> | <b>11,600</b> | <b>12,614</b> | <b>13,718</b> | <b>14,919</b> | <b>16,225</b> |

#### 4.6.3 Restaurant revenues

The following table indicates the annual revenues expected from the suggested project for restaurant:

Table 45: Expected Project annual revenues from restaurant

| Restaurant revenues' hypotheses                  | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025           | 2026           | 2027           | 2028           |
|--------------------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|
| Number of overnight visitors for restaurant      | 215           | 263           | 321           | 393           | 480           | 587           | 718            | 878            | 1,074          | 1,313          |
| Expenditures of overnight visitors at restaurant | 30.5          | 31.2          | 31.9          | 32.6          | 33.4          | 34.1          | 34.9           | 35.7           | 36.5           | 37.4           |
| <b>Overnight Visitors revenues</b>               | <b>6,552</b>  | <b>8,194</b>  | <b>10,248</b> | <b>12,816</b> | <b>16,028</b> | <b>20,049</b> | <b>25,070</b>  | <b>31,353</b>  | <b>39,216</b>  | <b>49,042</b>  |
| Number of restaurant Day visitors                | 572           | 699           | 855           | 1,046         | 1,278         | 1,563         | 1,911          | 2,337          | 2,858          | 3,495          |
| Expenditures of Day visitors at restaurant       | 35.5          | 36.3          | 37.1          | 38.0          | 38.9          | 39.7          | 40.6           | 41.6           | 42.5           | 43.5           |
| <b>One day visitors revenues</b>                 | <b>20,302</b> | <b>25,392</b> | <b>31,756</b> | <b>39,715</b> | <b>49,669</b> | <b>62,120</b> | <b>77,686</b>  | <b>97,156</b>  | <b>121,508</b> | <b>151,968</b> |
| <b>إيرادات المطعم</b>                            | <b>26,855</b> | <b>33,586</b> | <b>42,004</b> | <b>52,532</b> | <b>65,697</b> | <b>82,169</b> | <b>102,755</b> | <b>128,509</b> | <b>160,724</b> | <b>201,010</b> |

#### 4.6.4 Shops revenues

The following table indicates the annual revenues expected from the suggested project for commercial shops:

Table 46: Expected Project annual revenues from commercial shops

| Hypothesis for Revenues of commercial shops | 2019         | 2020         | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|---------------------------------------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Number of shops                             | 6            | 6            | 6             | 6             | 6             | 6             | 6             | 6             | 6             | 6             |
| <b>Shops' occupation rate</b>               | <b>%50</b>   | <b>%63</b>   | <b>%78</b>    | <b>%98</b>    | <b>%100</b>   | <b>%100</b>   | <b>%100</b>   | <b>%100</b>   | <b>%100</b>   | <b>%100</b>   |
| Number of leased shops                      | 3            | 4            | 5             | 6             | 6             | 6             | 6             | 6             | 6             | 6             |
| Monthly lease fees of shop                  | 180          | 184          | 188           | 193           | 197           | 201           | 206           | 211           | 216           | 220           |
| <b>commercial shops' lease revenues</b>     | <b>6,480</b> | <b>8,837</b> | <b>11,298</b> | <b>13,867</b> | <b>14,183</b> | <b>14,506</b> | <b>14,837</b> | <b>15,175</b> | <b>15,521</b> | <b>15,875</b> |

#### 4.6.5 Bikes' Revenues

The following table indicates the expected annual revenues from mountain bikes; whereas the lease price per bike is assumed to be 10 Dinars as an idea similar to Wadi Rum while considering the purchase power:

| Hypothesis for Revenues of bikes' lease                | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|--------------------------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Number of project visitors                             | 5,208         | 5,537         | 5,888         | 6,260         | 6,656         | 7,078         | 7,525         | 8,001         | 8,507         | 9,046         |
| Number of project visitors wanting entertainment       | 739           | 786           | 836           | 889           | 945           | 1,005         | 1,069         | 1,136         | 1,208         | 1,284         |
| Number of daily project visitors wanting entertainment | 4             | 4             | 5             | 5             | 5             | 6             | 6             | 6             | 7             | 7             |
| Number of mountain bikes                               | 3             | 3             | 3             | 3             | 3             | 3             | 3             | 3             | 3             | 3             |
| Number of daily lease hours                            | 10            | 11            | 12            | 12            | 13            | 14            | 15            | 16            | 17            | 18            |
| Number of lease hours divided on the number of bikes   | 3             | 4             | 4             | 4             | 4             | 5             | 5             | 5             | 6             | 6             |
| Number of annual lease hours                           | 1,849         | 1,966         | 2,090         | 2,222         | 2,363         | 2,513         | 2,671         | 2,840         | 3,020         | 3,211         |
| Mountain bike lease/ hour                              | 10.0          | 10.2          | 10.5          | 10.7          | 10.9          | 11.2          | 11.4          | 11.7          | 12.0          | 12.2          |
| <b>Revenues of bikes' lease</b>                        | <b>18,487</b> | <b>20,105</b> | <b>21,865</b> | <b>23,778</b> | <b>25,858</b> | <b>28,124</b> | <b>30,582</b> | <b>33,258</b> | <b>36,170</b> | <b>39,336</b> |

The following table shows the expected annual revenue of the proposed Project, which previously illustrated in the Project's market study:

Table 47: Expected Project's revenue during years of study

| General                                   | 2019          | 2020          | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027           | 2028           |
|-------------------------------------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| Revenues from Overnight Visitors          | 20,720        | 22,583        | 24,563         | 26,664         | 29,023         | 31,565         | 34,299         | 37,376         | 40,576         | 44,147         |
| Revenues from Day visitors                | 7,625         | 8,293         | 9,019          | 9,808          | 10,666         | 11,600         | 12,614         | 13,718         | 14,919         | 16,225         |
| Restaurant revenues                       | 26,855        | 33,586        | 42,004         | 52,532         | 65,697         | 82,169         | 102,755        | 128,509        | 160,724        | 201,010        |
| Shops' lease revenues                     | 6,480         | 8,837         | 11,298         | 13,867         | 14,183         | 14,506         | 14,837         | 15,175         | 15,521         | 15,875         |
| Mountain bikes lease revenues             | 18,487        | 20,105        | 21,865         | 23,778         | 25,858         | 28,124         | 30,582         | 33,258         | 36,170         | 39,336         |
| <b>Total revenue of the Project in JD</b> | <b>80,167</b> | <b>93,404</b> | <b>108,748</b> | <b>126,648</b> | <b>145,426</b> | <b>167,964</b> | <b>195,088</b> | <b>228,037</b> | <b>267,910</b> | <b>316,593</b> |

#### 4.7 Operating Expenses

The following table shows the operating expenses of the proposed Project, as follows:

Table 48: Operating expenses

| Description                                   | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025           | 2026           | 2027           | 2028           |
|-----------------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|
| Overnight Visitors' expenses                  | 1,036         | 1,129         | 1,228         | 1,333         | 1,451         | 1,578         | 1,715          | 1,869          | 2,029          | 2,207          |
| Day visitors' expenses                        | 381           | 415           | 451           | 490           | 533           | 580           | 631            | 686            | 746            | 811            |
| Restaurant expenses                           | 6,714         | 8,396         | 10,501        | 13,133        | 16,424        | 20,542        | 25,689         | 32,127         | 40,181         | 50,252         |
| Touristic promotion and discounts             | 5,000         | 5,114         | 5,231         | 5,350         | 5,472         | 5,597         | 5,724          | 5,855          | 5,988          | 6,125          |
| Maintenance, transportation and fuel expenses | 2,405         | 2,802         | 3,262         | 3,799         | 4,363         | 5,039         | 5,853          | 6,841          | 8,037          | 9,498          |
| Total direct salaries                         | 39,600        | 41,184        | 42,831        | 54,162        | 56,329        | 58,582        | 60,925         | 63,362         | 65,897         | 68,532         |
| Reserve expenses                              | 1,103         | 1,181         | 1,270         | 1,565         | 1,691         | 1,838         | 2,011          | 2,215          | 2,458          | 2,749          |
| <b>Total</b>                                  | <b>58,258</b> | <b>62,241</b> | <b>66,795</b> | <b>81,855</b> | <b>88,286</b> | <b>95,780</b> | <b>104,572</b> | <b>114,981</b> | <b>127,362</b> | <b>142,203</b> |

#### 4.8 Administrative Expenses

The following table shows the expected administrative expenses of the proposed Project during years of study. They were estimated by the Professional Group's team as follows:

Table 49: Administrative expenses

| Description                   | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|-------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Stationary                    | 5,000         | 5,114         | 5,231         | 5,350         | 5,472         | 5,597         | 5,724         | 5,855         | 5,988         | 6,125         |
| Accidents' insurance expenses | 3,577         | 3,778         | 3,992         | 4,219         | 4,461         | 4,718         | 4,991         | 5,281         | 5,590         | 5,919         |
| Occupational fees             | 2,000         | 2,046         | 2,092         | 2,140         | 2,189         | 2,239         | 2,290         | 2,342         | 2,395         | 2,450         |
| Land lease expenses           | 6,000         | 6,137         | 6,277         | 6,420         | 6,566         | 6,716         | 6,869         | 7,026         | 7,186         | 7,350         |
| Communication and internet    | 3,000         | 3,068         | 3,138         | 3,210         | 3,283         | 3,358         | 3,435         | 3,513         | 3,593         | 3,675         |
| Decoration                    | 2,000         | 2,046         | 2,092         | 2,140         | 2,189         | 2,239         | 2,290         | 2,342         | 2,395         | 2,450         |
| Hospitality                   | 6,500         | 6,648         | 6,800         | 6,955         | 7,113         | 7,276         | 7,441         | 7,611         | 7,785         | 7,962         |
| Other expenses                | 562           | 574           | 587           | 601           | 615           | 629           | 643           | 658           | 673           | 688           |
| <b>Total</b>                  | <b>28,639</b> | <b>29,411</b> | <b>30,209</b> | <b>31,034</b> | <b>31,887</b> | <b>32,770</b> | <b>33,682</b> | <b>34,627</b> | <b>35,605</b> | <b>36,618</b> |

#### 4.9 Marketing Expenses

The following table shows the expected marketing expenses of the proposed Project during years of study based on estimations of the Professional Group's team:

Table 50: Marketing expenses

| Description               | 2019         | 2020         | 2021         | 2022         | 2023         | 2024         | 2025         | 2026         | 2027         | 2028         |
|---------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>Marketing expenses</b> | 5,000        | 5,114        | 5,231        | 5,350        | 5,472        | 5,597        | 5,724        | 5,855        | 5,988        | 6,125        |
| <b>Total</b>              | <b>5,000</b> | <b>5,114</b> | <b>5,231</b> | <b>5,350</b> | <b>5,472</b> | <b>5,597</b> | <b>5,724</b> | <b>5,855</b> | <b>5,988</b> | <b>6,125</b> |

#### 4.10 Salaries and Wages

The monthly salary of each employee was estimated to be multiplied by 15 months per year for the purpose of calculating the annual salaries, wages and subsequent social security, health insurance and others. The following tables shows the expected annual salaries and wages, where the rate of increase in wages and salaries per annum is taken into account.

Table 51: Expected salaries and wages

| Job Title                          | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025           | 2026           | 2027           | 2028           |
|------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|----------------|----------------|----------------|----------------|
| <b>Indirect employees</b>          |               |               |               |               |               |               |                |                |                |                |
| Project manager                    | 12,000        | 12,480        | 12,979        | 13,498        | 14,038        | 14,600        | 15,184         | 15,791         | 16,423         | 17,080         |
| Accountant and HR officer          | 5,250         | 5,460         | 5,678         | 5,906         | 6,142         | 6,387         | 6,643          | 6,909          | 7,185          | 7,472          |
| Marketing officer                  | 4,500         | 4,680         | 4,867         | 5,062         | 5,264         | 5,475         | 5,694          | 5,922          | 6,159          | 6,405          |
| Security officers                  | 9,900         | 10,296        | 10,708        | 11,136        | 11,582        | 12,045        | 12,527         | 13,028         | 13,549         | 14,091         |
| <b>Total indirect salaries</b>     | <b>31,650</b> | <b>32,916</b> | <b>34,233</b> | <b>35,602</b> | <b>37,026</b> | <b>38,507</b> | <b>40,047</b>  | <b>41,649</b>  | <b>43,315</b>  | <b>45,048</b>  |
| <b>Direct employees</b>            |               |               |               |               |               |               |                |                |                |                |
| Housekeeping                       | 3,750         | 3,900         | 4,056         | 4,218         | 4,387         | 4,562         | 4,745          | 4,935          | 5,132          | 5,337          |
| Maintenance worker                 | 4,500         | 4,680         | 4,867         | 5,062         | 5,264         | 5,475         | 5,694          | 5,922          | 6,159          | 6,405          |
| Reservation and reception employee | 5,250         | 5,460         | 5,678         | 5,906         | 6,142         | 6,387         | 6,643          | 6,909          | 7,185          | 7,472          |
| Coffee shop employee               | 3,300         | 3,432         | 3,569         | 3,712         | 3,861         | 4,015         | 4,176          | 4,343          | 4,516          | 4,697          |
| Chef                               | 7,500         | 7,800         | 8,112         | 8,436         | 8,774         | 9,125         | 9,490          | 9,869          | 10,264         | 10,675         |
| Restaurant service workers         | 3,300         | 3,432         | 3,569         | 7,424         | 7,721         | 8,030         | 8,351          | 8,685          | 9,033          | 9,394          |
| Sous-chef                          | 5,250         | 5,460         | 5,678         | 11,811        | 12,284        | 12,775        | 13,286         | 13,817         | 14,370         | 14,945         |
| Touristic guide                    | 6,750         | 7,020         | 7,301         | 7,593         | 7,897         | 8,212         | 8,541          | 8,883          | 9,238          | 9,607          |
| <b>Total direct salaries</b>       | <b>39,600</b> | <b>41,184</b> | <b>42,831</b> | <b>54,162</b> | <b>56,329</b> | <b>58,582</b> | <b>60,925</b>  | <b>63,362</b>  | <b>65,897</b>  | <b>68,532</b>  |
| <b>Total</b>                       | <b>71,250</b> | <b>74,100</b> | <b>77,064</b> | <b>89,764</b> | <b>93,355</b> | <b>97,089</b> | <b>100,972</b> | <b>105,011</b> | <b>109,212</b> | <b>113,580</b> |

#### 4.11 Statement of Income

Throughout all financial information and analysis of expenses and financial costs of the Project, the estimated statement of income for the years of study, is shown in the following table:

Table 52: Statement of Income

| Description                                   | 2019         | 2020         | 2021        | 2022        | 2023        | 2024        | 2025        | 2026       | 2027       | 2028       |
|-----------------------------------------------|--------------|--------------|-------------|-------------|-------------|-------------|-------------|------------|------------|------------|
| <b>Revenue</b>                                |              |              |             |             |             |             |             |            |            |            |
| Sales revenue                                 | 80,167       | 93,404       | 108,748     | 126,648     | 145,426     | 167,964     | 195,088     | 228,037    | 267,910    | 316,593    |
| Total operating revenue                       | 80,167       | 93,404       | 108,748     | 126,648     | 145,426     | 167,964     | 195,088     | 228,037    | 267,910    | 316,593    |
| Operating expenses                            | (58,258)     | (62,241)     | (66,795)    | (81,855)    | (88,286)    | (95,780)    | (104,572)   | (114,981)  | (127,362)  | (142,203)  |
| Gross profit (or loss)                        | 21,909       | 31,163       | 41,952      | 44,793      | 57,140      | 72,183      | 90,516      | 113,056    | 140,548    | 174,390    |
| <i>Gross profit margin</i>                    | <i>%27</i>   | <i>%33</i>   | <i>%39</i>  | <i>%35</i>  | <i>%39</i>  | <i>%43</i>  | <i>%46</i>  | <i>%50</i> | <i>%52</i> | <i>%55</i> |
| Salaries and wages (indirect)                 | (31,650)     | (32,916)     | (34,233)    | (35,602)    | (37,026)    | (38,507)    | (40,047)    | (41,649)   | (43,315)   | (45,048)   |
| Administrative expenses                       | (28,639)     | (29,411)     | (30,209)    | (31,034)    | (31,887)    | (32,770)    | (33,682)    | (34,627)   | (35,605)   | (36,618)   |
| Marketing expenses                            | (5,000)      | (5,114)      | (5,231)     | (5,350)     | (5,472)     | (5,597)     | (5,724)     | (5,855)    | (5,988)    | (6,125)    |
| Pre-operating expenses                        | (66,120)     |              |             |             |             |             |             |            |            |            |
| Total indirect costs                          | (131,409)    | (67,441)     | (69,673)    | (71,986)    | (74,385)    | (76,874)    | (79,454)    | (82,131)   | (84,908)   | (87,790)   |
| Income before tax, depreciation and interests | (109,499)    | (36,278)     | (27,720)    | (27,194)    | (17,245)    | (4,690)     | 11,062      | 30,925     | 55,639     | 86,600     |
| Depreciation of fixed assets                  | (38,911)     | (39,586)     | (40,296)    | (41,041)    | (41,823)    | (42,644)    | (43,506)    | (44,411)   | (45,362)   | (46,360)   |
| Income before taxes and interests             | (148,410)    | (75,865)     | (68,016)    | (68,234)    | (59,068)    | (47,334)    | (32,444)    | (13,486)   | 10,277     | 40,239     |
| Banking interests                             | (27,867)     | (23,256)     | (18,208)    | (12,681)    | (6,628)     | 0           | 0           | 0          | 0          | 0          |
| Income before taxes                           | (176,277)    | (99,121)     | (86,224)    | (80,915)    | (65,696)    | (47,334)    | (32,444)    | (13,486)   | 10,277     | 40,239     |
| Income tax                                    | 0            | 0            | 0           | 0           | 0           | 0           | 0           | 0          | 0          | 0          |
| Net profit (loss)                             | (176,277)    | (99,121)     | (86,224)    | (80,915)    | (65,696)    | (47,334)    | (32,444)    | (13,486)   | 10,277     | 40,239     |
| Net profit rate                               | <i>%220-</i> | <i>%106-</i> | <i>%79-</i> | <i>%64-</i> | <i>%45-</i> | <i>%28-</i> | <i>%17-</i> | <i>%6-</i> | <i>%4</i>  | <i>%13</i> |
| Compulsory reserve                            | 0            | 0            | 0           | 0           | 0           | 0           | 0           | 0          | (1,028)    | (4,024)    |
| Retained earnings                             | (176,277)    | (275,398)    | (361,622)   | (442,537)   | (508,233)   | (555,567)   | (588,011)   | (601,497)  | (592,247)  | (556,032)  |

#### 4.12 Statement of Financial Position

The statement of financial position is one of the essential financial statements, on which the Project relies on. It is a statement or a report illustrates the financial position of the Project. The statements are prepared based on the assumptions of the accounts receivable and payable of the Project.

##### 4.12.1 Accounts Receivable and Payable

The following table shows the assumptions of the accounts receivable and payable and ending inventory:

Table 53: Assumptions of accounts receivable and payable

| Assumption of Balance Sheet                                | Percentage |
|------------------------------------------------------------|------------|
| Cash collected during the period from the accrued revenue  | 100%       |
| Cash collect during the subsequent period                  | 0%         |
| Cash paid on the operating expenses during the fiscal year | 92%        |
| Cash paid during the subsequent period                     | 8%         |
| <b>End-of-period inventory</b>                             | 17%        |

Table 54: Accounts receivable

| Accounts receivable                     | 2019          | 2020          | 2021           | 2022           | 2023           | 2024           | 2025           | 2026           | 2027           | 2028           |
|-----------------------------------------|---------------|---------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| Operating revenue                       | 80,167        | 93,404        | 108,748        | 126,648        | 145,426        | 167,964        | 195,088        | 228,037        | 267,910        | 316,593        |
| Cash collected during the period        | 80,167        | 93,404        | 108,748        | 126,648        | 145,426        | 167,964        | 195,088        | 228,037        | 267,910        | 316,593        |
| Cash collected from the previous period | 0             | 0             | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| <b>Cash collected</b>                   | <b>80,167</b> | <b>93,404</b> | <b>108,748</b> | <b>126,648</b> | <b>145,426</b> | <b>167,964</b> | <b>195,088</b> | <b>228,037</b> | <b>267,910</b> | <b>316,593</b> |
| Opening accounts receivable             | 0             | 0             | 0              | 0              | 0              | 0              | 0              | 0              | 0              | 0              |
| <b>Ending accounts receivable</b>       | <b>0</b>      | <b>0</b>      | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       | <b>0</b>       |

Table 55: Movement and balances of accounts payable

| Accounts Payable                   | 2019          | 2020          | 2021          | 2022          | 2023          | 2024          | 2025          | 2026          | 2027          | 2028          |
|------------------------------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Operating expenses                 | 18,658        | 21,057        | 23,964        | 27,693        | 31,958        | 37,198        | 43,647        | 51,619        | 61,466        | 73,670        |
| Cash paid during the period        | 17,103        | 19,302        | 21,967        | 25,385        | 29,294        | 34,098        | 40,010        | 47,317        | 56,344        | 67,531        |
| Cash paid from the previous period | 0             | 1,555         | 1,755         | 1,997         | 2,308         | 2,663         | 3,100         | 3,637         | 4,302         | 5,122         |
| <b>Cash Paid</b>                   | <b>17,103</b> | <b>20,857</b> | <b>23,722</b> | <b>27,382</b> | <b>31,602</b> | <b>36,762</b> | <b>43,110</b> | <b>50,954</b> | <b>60,645</b> | <b>72,653</b> |
| Opening accounts payable           | 0             | 1,555         | 1,755         | 1,997         | 2,308         | 2,663         | 3,100         | 3,637         | 4,302         | 5,122         |
| <b>Ending accounts payable</b>     | <b>1,555</b>  | <b>1,755</b>  | <b>1,997</b>  | <b>2,308</b>  | <b>2,663</b>  | <b>3,100</b>  | <b>3,637</b>  | <b>4,302</b>  | <b>5,122</b>  | <b>6,139</b>  |

Table 56: End of period inventory

| End of period inventory                         | 2019         | 2020       | 2021       | 2022       | 2023       | 2024       | 2025       | 2026       | 2027       | 2028       |
|-------------------------------------------------|--------------|------------|------------|------------|------------|------------|------------|------------|------------|------------|
| Raw materials cost                              | 8,131        | 1,129      | 1,228      | 1,333      | 1,451      | 1,578      | 1,715      | 1,869      | 2,029      | 2,207      |
|                                                 | 17%          | 17%        | 17%        | 17%        | 17%        | 17%        | 17%        | 17%        | 17%        | 17%        |
| <b>End of period inventory of raw materials</b> | <b>1,355</b> | <b>188</b> | <b>205</b> | <b>222</b> | <b>242</b> | <b>263</b> | <b>286</b> | <b>311</b> | <b>338</b> | <b>368</b> |

The following table shows the statement of financial position of the Project during the years of study in JD:

Table 57: Statement of Financial Position

| Description                      | 2019            | 2020             | 2021             | 2022             | 2023             | 2024             | 2025             | 2026             | 2027             | 2028             |
|----------------------------------|-----------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| <b>Assets</b>                    |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Current Assets</b>            |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Cash                             | (46,932)        | (160,383)        | (266,318)        | (371,534)        | (466,606)        | (548,859)        | (545,905)        | (523,394)        | (476,467)        | (398,862)        |
| Inventory                        | 1,355           | 188              | 205              | 222              | 242              | 263              | 286              | 311              | 338              | 368              |
| Accounts receivable              | 0               | 0                | 0                | 0                | 0                | 0                | 0                | 0                | 0                | 0                |
| <b>Total Current Assets</b>      | <b>(45,576)</b> | <b>(160,195)</b> | <b>(266,113)</b> | <b>(371,311)</b> | <b>(466,364)</b> | <b>(548,596)</b> | <b>(545,619)</b> | <b>(523,083)</b> | <b>(476,129)</b> | <b>(398,494)</b> |
| <b>Non-current Assets</b>        |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Fixed Assets (at Net)            | 604,187         | 571,356          | 538,154          | 504,562          | 470,560          | 436,128          | 401,245          | 365,887          | 330,031          | 293,652          |
| <b>Total Non-current Assets</b>  | <b>604,187</b>  | <b>571,356</b>   | <b>538,154</b>   | <b>504,562</b>   | <b>470,560</b>   | <b>436,128</b>   | <b>401,245</b>   | <b>365,887</b>   | <b>330,031</b>   | <b>293,652</b>   |
| <b>Total Assets</b>              | <b>558,610</b>  | <b>411,161</b>   | <b>272,041</b>   | <b>133,251</b>   | <b>4,197</b>     | <b>(112,467)</b> | <b>(144,374)</b> | <b>(157,196)</b> | <b>(146,098)</b> | <b>(104,841)</b> |
| <b>Liabilities</b>               |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| <b>Current Liabilities</b>       |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |
| Accounts payable                 | 1,555           | 1,755            | 1,997            | 2,308            | 2,663            | 3,100            | 3,637            | 4,302            | 5,122            | 6,139            |
| Current part of the loan         | 48,528          | 53,138           | 58,186           | 63,714           | 69,767           | 0                | 0                | 0                | 0                | 0                |
| <b>Total Current Liabilities</b> | <b>50,083</b>   | <b>54,893</b>    | <b>60,183</b>    | <b>66,022</b>    | <b>72,430</b>    | <b>3,100</b>     | <b>3,637</b>     | <b>4,302</b>     | <b>5,122</b>     | <b>6,139</b>     |
| <b>Non-current Liabilities</b>   |                 |                  |                  |                  |                  |                  |                  |                  |                  |                  |



|                                             |                |                |                |                |                 |                  |                  |                  |                  |                  |
|---------------------------------------------|----------------|----------------|----------------|----------------|-----------------|------------------|------------------|------------------|------------------|------------------|
| Long-term Loans                             | 244,805        | 191,667        | 133,481        | 69,767         | 0               | 0                | 0                | 0                | 0                | 0                |
| <b>Total long-term liabilities</b>          | <b>244,805</b> | <b>191,667</b> | <b>133,481</b> | <b>69,767</b>  | <b>0</b>        | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         | <b>0</b>         |
| <b>Total Liabilities</b>                    | <b>294,888</b> | <b>246,560</b> | <b>193,664</b> | <b>135,788</b> | <b>72,430</b>   | <b>3,100</b>     | <b>3,637</b>     | <b>4,302</b>     | <b>5,122</b>     | <b>6,139</b>     |
| <b>Owner's Equity</b>                       |                |                |                |                |                 |                  |                  |                  |                  |                  |
| Shares of members                           | 439,999        | 439,999        | 439,999        | 439,999        | 439,999         | 439,999          | 439,999          | 439,999          | 439,999          | 439,999          |
| Compulsory reserve                          | 0              | 0              | 0              | 0              | 0               | 0                | 0                | 0                | 1,028            | 5,052            |
| Retained profit (loss)                      | (176,277)      | (275,398)      | (361,622)      | (442,537)      | (508,233)       | (555,567)        | (588,011)        | (601,497)        | (592,247)        | (556,032)        |
| <b>Total Owner's Equity</b>                 | <b>263,723</b> | <b>164,602</b> | <b>78,377</b>  | <b>(2,538)</b> | <b>(68,233)</b> | <b>(115,567)</b> | <b>(148,011)</b> | <b>(161,497)</b> | <b>(151,220)</b> | <b>(110,981)</b> |
| <b>Total Liabilities and Owner's Equity</b> | <b>558,610</b> | <b>411,161</b> | <b>272,041</b> | <b>133,251</b> | <b>4,197</b>    | <b>(112,467)</b> | <b>(144,374)</b> | <b>(157,196)</b> | <b>(146,098)</b> | <b>(104,841)</b> |

#### 4.12.2 Statement of Expected Cash Flows

The following table shows the Project's statement of expected cash flows:

Table 58: Statement of Expected Cash Flows

| Currency (JD)                                             | 2019      | 2020     | 2021     | 2022     | 2023     | 2024     | 2025     | 2026     | 2027    | 2028    |
|-----------------------------------------------------------|-----------|----------|----------|----------|----------|----------|----------|----------|---------|---------|
| <b>Cash flows from operating activities</b>               |           |          |          |          |          |          |          |          |         |         |
| Net profit (loss)                                         | (176,277) | (99,121) | (86,224) | (80,915) | (65,696) | (47,334) | (32,444) | (13,486) | 10,277  | 40,239  |
| Non-cash adjustments                                      |           |          |          |          |          |          |          |          |         |         |
| Bank interests                                            | 27,867    | 23,256   | 18,208   | 12,681   | 6,628    | 0        | 0        | 0        | 0       | 0       |
| Depreciations                                             | 38,911    | 39,586   | 40,296   | 41,041   | 41,823   | 42,644   | 43,506   | 44,411   | 45,362  | 46,360  |
| Operating cash flows before changes in working capital    | (109,499) | (36,278) | (27,720) | (27,194) | (17,245) | (4,690)  | 11,062   | 30,925   | 55,639  | 86,600  |
| Shortage (Excess) in inventory                            | (1,355)   | 1,167    | (16)     | (18)     | (20)     | (21)     | (23)     | (26)     | (27)    | (30)    |
| Shortage (Excess) in accounts receivable                  | 0         | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0       | 0       |
| Shortage (Excess) in accounts payable                     | 1,555     | 200      | 242      | 311      | 355      | 437      | 537      | 664      | 821     | 1,017   |
| Changes in working capital                                | 200       | 1,367    | 226      | 293      | 336      | 416      | 515      | 639      | 794     | 987     |
| Net cash flows (used) resulted from operating activities  | (109,300) | (34,911) | (27,495) | (26,900) | (16,910) | (4,275)  | 11,577   | 31,564   | 56,433  | 87,587  |
| <b>Cash flows from investment activities</b>              |           |          |          |          |          |          |          |          |         |         |
| (Purchase) of fixed assets                                | (643,098) | (6,756)  | (7,094)  | (7,448)  | (7,821)  | (8,212)  | (8,622)  | (9,054)  | (9,506) | (9,982) |
| Net cash flows (used) resulted from investment activities | (643,098) | (6,756)  | (7,094)  | (7,448)  | (7,821)  | (8,212)  | (8,622)  | (9,054)  | (9,506) | (9,982) |
| <b>Cash flows from financing activities</b>               |           |          |          |          |          |          |          |          |         |         |

|                                                          |          |           |           |           |           |           |           |           |           |           |
|----------------------------------------------------------|----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|-----------|
| Capital                                                  | 439,999  |           |           |           |           |           |           |           |           |           |
| Repayment of loan                                        | 0        | (48,528)  | (53,138)  | (58,186)  | (63,714)  | (69,767)  | 0         | 0         | 0         | 0         |
| Bank interests                                           | (27,867) | (23,256)  | (18,208)  | (12,681)  | (6,628)   | 0         | 0         | 0         | 0         | 0         |
| Loans                                                    | 293,333  | 0         | 0         | 0         | 0         | 0         | 0         | 0         | 0         | 0         |
| Net cash flows (used) resulted from financing activities | 705,466  | (71,784)  | (71,346)  | (70,867)  | (70,342)  | (69,767)  | 0         | 0         | 0         | 0         |
| Net excess (shortage) in cash                            | (46,932) | (113,452) | (105,935) | (105,216) | (95,072)  | (82,253)  | 2,954     | 22,511    | 46,927    | 77,605    |
| Opening cash flows                                       | 0        | (46,932)  | (160,383) | (266,318) | (371,534) | (466,606) | (548,859) | (545,905) | (523,394) | (476,467) |
| Ending cash flows                                        | (46,932) | (160,383) | (266,318) | (371,534) | (466,606) | (548,859) | (545,905) | (523,394) | (476,467) | (398,862) |

#### 4.13 Financial Ratios and Profitability

In order to reach to the statement of discounted cash flows, the discount coefficient must be calculated, where there is more than one method to calculate it, but in this study the Weighted Average Cost of Capital (WACC) was used as a discount coefficient to calculate the discounted cash flows and net current value of investment.

The companies financing structure relies on owner's equity and loans. Therefore, the discount rate should be adjusted according to WACC. This is based on the following assumptions:

Table 59: Assumptions of Financial Ratios and Profitability

| Risk Allowance                            |        |
|-------------------------------------------|--------|
| Revenue rate on risk-free investments (1) | %5.58  |
| Revenue to maturity of debts (2)          | %9.84  |
| Market risk allowance (3)                 | %13.20 |
| Income tax rate                           | %8     |
| Beta "Systemic Risk" (4)                  | 0.84   |
| Growth rate                               | 2.00%  |

(1) Source: Central Bank of Jordan

(2) Source: Central Bank of Jordan

(3) Source: Report Damodaran's County Default Spreads and Risk Premiums

(4) Source: Damodoran Beta by Sector



According, the WACC of the Project is 13.62%, as shown in the following table:

Table 60: Weighted Average Cost of Capital (WACC)

| <b>Weighted Average Cost of Capital</b> |               |
|-----------------------------------------|---------------|
| Revenue rate on risk-free investments   | %5.58         |
| Revenue to maturity of debts            | %9.84         |
| Market risk allowance                   | %13.20        |
| Income tax rate                         | %8            |
| Beta "Systemic Risk"                    | 0.84          |
| Owners' equity                          | 439,999       |
| Value of loans                          | 293,333       |
| <b>Loans</b>                            |               |
| Cost of borrowing before taxes          | %9.84         |
| Cost of borrowing after taxes           | %9.05         |
| Value of loan                           | 293,333       |
| Percentage of loan                      | %40           |
| <b>Owner's equity</b>                   |               |
| Cost of owner' equity                   | %16.7         |
| Value of owners' equity                 | 439,999       |
| Percentage of owners' equity            | %60           |
| <b>Total</b>                            |               |
| Project's value                         | 733,332       |
| Project's percentage                    | %100          |
| <b>Weighted Average Cost of Capital</b> | <b>%13.62</b> |

Based on the above, the following table shows the net expected free cash flows statement of the Project:

Table 61: Statement of Net Free Cash Flows

| Currency (JD)                         | 0         | 2019     | 2020     | 2021     | 2022     | 2023     | 2024     | 2025     | 2026     | 2027    | 2028    |                 |
|---------------------------------------|-----------|----------|----------|----------|----------|----------|----------|----------|----------|---------|---------|-----------------|
| Income before taxes and interests     |           | (82,290) | (75,865) | (68,016) | (68,234) | (59,068) | (47,334) | (32,444) | (13,486) | 10,277  | 40,239  |                 |
| Income tax                            |           | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0       | 0       |                 |
| Net Profit                            |           | (82,290) | (75,865) | (68,016) | (68,234) | (59,068) | (47,334) | (32,444) | (13,486) | 10,277  | 40,239  | Remaining value |
| Adjustments                           |           |          |          |          |          |          |          |          |          |         |         |                 |
| Depreciations                         |           | 38,911   | 39,586   | 40,296   | 41,041   | 41,823   | 42,644   | 43,506   | 44,411   | 45,362  | 46,360  |                 |
| Changes in working capital            |           | 200      | 1,367    | 226      | 293      | 336      | 416      | 515      | 639      | 794     | 987     |                 |
| Additions of fixed assets and capital |           | 0        | (6,756)  | (7,094)  | (7,448)  | (7,821)  | (8,212)  | (8,622)  | (9,054)  | (9,506) | (9,982) |                 |
| Net free cash flows                   | (733,332) | (43,180) | (41,667) | (34,588) | (34,349) | (24,730) | (12,486) | 2,954    | 22,511   | 46,927  | 77,605  | 681,104         |

Table 62: Net Cash Flows

| Net Cash Flows                  | 2018      | 2019     | 2020     | 2021     | 2022     | 2023     | 2024     | 2025  | 2026   | 2027   | 2028   | القيمة المتبقية |
|---------------------------------|-----------|----------|----------|----------|----------|----------|----------|-------|--------|--------|--------|-----------------|
| Net free cash flows             | (733,332) | (43,180) | (41,667) | (34,588) | (34,349) | (24,730) | (12,486) | 2,954 | 22,511 | 46,927 | 77,605 | 681,104         |
| Discount coefficient            | 1.00      | 0.88     | 0.77     | 0.68     | 0.60     | 0.53     | 0.46     | 0.41  | 0.36   | 0.32   | 0.28   | 0.28            |
| Net current value of cash flows | (733,332) | (38,003) | (32,275) | (23,580) | (20,609) | (13,059) | (5,803)  | 1,208 | 8,104  | 14,868 | 21,641 | 189,930         |

Furthermore, the results of expected financial ratios' analysis and profitability can be seen in the following table:

Table 62: Expected financial ratios and profitability

| Expected financial ratios and profitability |                    |
|---------------------------------------------|--------------------|
| Discount rate                               | %13.62             |
| Net current value of cash flows             | (630,911)          |
| Capital recovery period                     | More Than 10 years |
| Internal rate of return (IRR)               | %1.14-             |

Based on the results of the financial analysis, it was concluded that the Project is economically not feasible

# Statement of Free Net Cash Flows - Owners' Equity

Table 63: Statement of Free Net Cash Flows

| Currency (JD)                         | 0         | 2022      | 2023     | 2024     | 2025     | 2026     | 2027     | 2028     | 2029     | 2030   | 2031   |                 |
|---------------------------------------|-----------|-----------|----------|----------|----------|----------|----------|----------|----------|--------|--------|-----------------|
| Income before taxes                   |           | (176,277) | (99,121) | (86,224) | (80,915) | (65,696) | (47,334) | (32,444) | (13,486) | 10,277 | 40,239 |                 |
| Income tax                            |           | 0         | 0        | 0        | 0        | 0        | 0        | 0        | 0        | 0      | 0      |                 |
| Net Profit                            |           | (176,277) | (99,121) | (86,224) | (80,915) | (65,696) | (47,334) | (32,444) | (13,486) | 10,277 | 40,239 | Remaining value |
| Adjustments                           |           |           |          |          |          |          |          |          |          |        |        |                 |
| Depreciation                          |           | 38,911    | 39,586   | 40,296   | 41,041   | 41,823   | 42,644   | 43,506   | 44,411   | 45,362 | 46,360 |                 |
| Changes in working capital            |           | 200       | 1,367    | 226      | 293      | 336      | 416      | 515      | 639      | 794    | 987    |                 |
| Settlement of loan                    |           | 0         | (48,528) | (53,138) | (58,186) | (63,714) | (69,767) | 0        | 0        | 0      | 0      |                 |
| Additions of fixed assets and capital |           | 0         | 6,756    | 7,094    | 7,448    | 7,821    | 8,212    | 8,622    | 9,054    | 9,506  | 9,982  |                 |
| Net free cash flows                   | (439,999) | (137,166) | (99,940) | (91,747) | (90,319) | (79,430) | (65,830) | 20,199   | 40,618   | 65,939 | 97,568 | 856,310         |

| Net Cash Flows                  | 2021      | 2022      | 2023     | 2024     | 2025     | 2026     | 2027     | 2028   | 2029   | 2030   | 2031   | Remaining value |
|---------------------------------|-----------|-----------|----------|----------|----------|----------|----------|--------|--------|--------|--------|-----------------|
| Net free cash flows             | (439,999) | (137,166) | (99,940) | (91,747) | (90,319) | (79,430) | (65,830) | 20,199 | 40,618 | 65,939 | 97,568 | 856,310         |
| Discount coefficient            | 0.68      | 0.60      | 0.53     | 0.46     | 0.41     | 0.36     | 0.32     | 0.28   | 0.25   | 0.22   | 0.19   | 0.19            |
| Net current value of cash flows | (299,962) | (82,300)  | (52,775) | (42,640) | (36,944) | (28,595) | (20,857) | 5,633  | 9,969  | 14,243 | 18,548 | 162,788         |

The results of expected financial ratios' analysis and profitability for owners' equity can be seen in the following table:

Table 64: Expected financial ratios and profitability

| Expected financial ratios and profitability |                    |
|---------------------------------------------|--------------------|
| Discount rate                               | %13.62             |
| Net current value of cash flows             | (492,930)          |
| Capital recovery period                     | More than 10 years |
| Internal rate of return (IRR)               | %0.91              |

#### 4.14 Break-even Point Analysis

A break-even point analysis has been prepared to reach that level of the project, where the total costs (fixed and variable) are equal to the total revenue, so that there is no profit or loss. The following table shows the break-even point we have reached:

Table 65: Beal-even point analysis

|                                 | 2018                       | 2019                       | 2020                       | 2021                       | 2022                       | 2023                       | 2024                       | 2025                       | 2026                       | 2027                        |
|---------------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|----------------------------|-----------------------------|
| <b>Variable Expenses</b>        | <b>1<sup>st</sup> year</b> | <b>2<sup>nd</sup> year</b> | <b>3<sup>rd</sup> year</b> | <b>4<sup>th</sup> year</b> | <b>5<sup>th</sup> year</b> | <b>6<sup>th</sup> year</b> | <b>7<sup>th</sup> year</b> | <b>8<sup>th</sup> year</b> | <b>9<sup>th</sup> year</b> | <b>10<sup>th</sup> year</b> |
| Operating expenses              | 58,258                     | 62,241                     | 66,795                     | 81,855                     | 88,286                     | 95,780                     | 104,572                    | 114,981                    | 127,362                    | 142,203                     |
| Number of project visitors      | 5,208                      | 5,537                      | 5,888                      | 6,260                      | 6,656                      | 7,078                      | 7,525                      | 8,001                      | 8,507                      | 9,046                       |
| <b>Cost average per visitor</b> | <b>11</b>                  | <b>11</b>                  | <b>11</b>                  | <b>13</b>                  | <b>13</b>                  | <b>14</b>                  | <b>14</b>                  | <b>14</b>                  | <b>15</b>                  | <b>16</b>                   |
| <b>Fixed Expenses</b>           | <b>1<sup>st</sup> year</b> | <b>2<sup>nd</sup> year</b> | <b>3<sup>rd</sup> year</b> | <b>4<sup>th</sup> year</b> | <b>5<sup>th</sup> year</b> | <b>6<sup>th</sup> year</b> | <b>7<sup>th</sup> year</b> | <b>8<sup>th</sup> year</b> | <b>9<sup>th</sup> year</b> | <b>10<sup>th</sup> year</b> |
| Administrative expense          | 28,639                     | 29,411                     | 30,209                     | 31,034                     | 31,887                     | 32,770                     | 33,682                     | 34,627                     | 35,605                     | 36,618                      |
| Marketing expenses              | 5,000                      | 5,114                      | 5,231                      | 5,350                      | 5,472                      | 5,597                      | 5,724                      | 5,855                      | 5,988                      | 6,125                       |
| Indirect expenses               | 31,650                     | 32,916                     | 34,233                     | 35,602                     | 37,026                     | 38,507                     | 40,047                     | 41,649                     | 43,315                     | 45,048                      |
| Depreciations                   | 38,911                     | 39,586                     | 40,296                     | 41,041                     | 41,823                     | 42,644                     | 43,506                     | 44,411                     | 45,362                     | 46,360                      |
| Bank interests expenses         | 27,867                     | 23,256                     | 18,208                     | 12,681                     | 6,628                      | 0                          | 0                          | 0                          | 0                          | 0                           |
| <b>Total fixed expenses</b>     | <b>132,066</b>             | <b>130,284</b>             | <b>128,177</b>             | <b>125,708</b>             | <b>122,836</b>             | <b>119,517</b>             | <b>122,960</b>             | <b>126,542</b>             | <b>130,270</b>             | <b>134,151</b>              |

|                                        | 1 <sup>st</sup> year | 2 <sup>nd</sup> year | 3 <sup>rd</sup> year | 4 <sup>th</sup> year | 5 <sup>th</sup> year | 6 <sup>th</sup> year | 7 <sup>th</sup> year | 8 <sup>th</sup> year | 9 <sup>th</sup> year | 10 <sup>th</sup> year |
|----------------------------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|----------------------|-----------------------|
| Price average per visitor              | 15                   | 17                   | 18                   | 20                   | 22                   | 24                   | 26                   | 29                   | 31                   | 35                    |
| Contribution margin per meter          | 4                    | 6                    | 7                    | 7                    | 9                    | 10                   | 12                   | 14                   | 17                   | 19                    |
| Profit margin rate                     | 0.27                 | 0.33                 | 0.39                 | 0.35                 | 0.39                 | 0.43                 | 0.46                 | 0.50                 | 0.52                 | 0.55                  |
| Break-even point by number of visitors | 31,391               | 23,149               | 17,988               | 17,568               | 14,308               | 11,719               | 10,222               | 8,955                | 7,885                | 6,958                 |
| <b>Break-even Point in JD</b>          | <b>483,232</b>       | <b>390,498</b>       | <b>332,257</b>       | <b>355,429</b>       | <b>312,628</b>       | <b>278,105</b>       | <b>265,015</b>       | <b>255,239</b>       | <b>248,320</b>       | <b>243,541</b>        |

**Notice**



This Preliminary Feasibility Study report (the "Report" or "Study") was presented to the Local Development Division in Municipality of Al Shoula. The sole objective of this study is to assist the Municipality in assessing the financial feasibility and profitability of this project and demonstrate the various aspects and economic results associated with the Project.

The anticipated financial information included in this report is based on a number of assumptions and estimations, which although considered logical by the financial advisor, they are fundamentally vulnerable to business, economic and competitiveness uncertainties, all of which are difficult to predict and many beyond the control of the study authors. Accordingly, there can be no guarantee that the expected results will be realized, or that actual results will not be significantly greater or lower than expectations. As for the accuracy or completeness of the information contained in this report (including the expected results or estimates and assumptions on which it is built), the authors of study expressly deny any part or all of liability that may be based on such information, errors or omissions about it.

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**End of Report**